



Maintain financial standards and records

D1.HFI.CL8.02
D1.HFA.CL7.03

Trainee Manual



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Trainee Manual



William
Angliss
Institute

Specialist centre
for foods, tourism
& hospitality

Project Base

William Angliss Institute of TAFE
555 La Trobe Street
Melbourne 3000 Victoria
Telephone: (03) 9606 2111
Facsimile: (03) 9670 1330

Acknowledgements

Project Director:	Wayne Crosbie
Chief Writer:	Alan Hickman
Subject Writer:	Emma Gronow
Project Manager:	Alan Maguire
Editor:	Jim Irwin
DTP/Production:	Daniel Chee, Mai Vu, Riny Yasin, Kaly Quach

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Unit descriptor

Maintain financial standards and records

This unit deals with the skills and knowledge required to Maintain financial standards and records in a range of settings within the hotel and travel industries workplace context.

Unit Code:

D1.HFI.CL8.02
D1.HFA.CL7.03

Nominal Hours:

65 hours

Element 1: Monitor financial procedures

Performance Criteria

- 1.1 Check transactions accordance with enterprise procedures
- 1.2 Balance transactions accurately
- 1.3 Check balances prepared by others in accordance with enterprise procedures
- 1.4 Implement and control financial systems in accordance with enterprise procedures
- 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel
- 1.6 Identify and resolve discrepancies or errors according to level of responsibility and in consultation with designated persons

Element 2: Complete financial reports

Performance Criteria

- 2.1 Complete routine financial/statistical reports accurately within designated timelines
- 2.2 Forward financial/statistical reports promptly to the appropriate person/department

Assessment matrix

Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

		Work Projects	Written Questions	Oral Questions
Element 1: Monitor financial procedures				
1.1	Check transactions accordance with enterprise procedures	1.2, 1.3, 1.4	23, 24, 30	1
1.2	Balance transactions accurately	1.2, 1.3, 1.4	23, 25, 26, 27	2
1.3	Check balances prepared by others in accordance with enterprise procedures	1.2, 1.3, 1.4	7, 18, 26, 27, 28	3
1.4	Implement and control financial systems in accordance with enterprise procedures	1.1	1, 2, 3, 4, 5, 6, 7	4
1.5	Monitor financial systems and provide input on possible improvements to appropriate personnel	1.1, 1.2, 1.3, 1.4	4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19	5
1.6	Identify and resolve discrepancies or errors according to level of responsibility and in consultation with designated persons	1.3, 1.4, 2.1	19, 20, 26, 29	6
Element 2: Complete financial reports				
2.1	Complete routine financial/statistical reports accurately within designated timelines	2.1	1, 12, 16, 17, 18, 30, 31, 32, 33, 34	7
2.2	Forward financial/statistical reports promptly to the appropriate person/department	2.2	30, 31	8

Glossary

Term	Explanation
Assets	An item of value that is owned by an organisation or business
Cash	Any legal form of payment including but not limited to, notes and coins, cheques, credit card payments, electronic transfers and vouchers
Equity	The difference between assets and liabilities and represents what is left for the owners after liabilities are repaid
Expenses	Costs incurred in the normal course of operations to support the production of revenue
Fixed assets	Assets with an estimated useful life of more than one year. Also called non-current assets.
Fixed costs	Costs that do not fluctuate with sales activity
General ledger	The collection of accounts that capture all the financial activities of an organisation
Journals	A record of all initial financial transactions is kept in a book or similar system called a journal
Labour	Work, especially physical work
Liability	A debt or obligation which is owed and must be settled
Profit	Total revenue exceeds total expenses
Revenue	Total amount of earnings received by a business for providing goods and services for a certain time period
Source documents	A paper based or computer record that provides evidence that a transaction has occurred
Stakeholders	A person, group or organisation that has an interest in a business
Subsidiary ledgers	A group of individual accounts that support the total balance of a general ledger account
Trial balance	A statement listing all the accounts in the general ledger and their debit and credit balances

Element 1:

Monitor financial procedures

1.1 Check transactions accordance with enterprise procedures

Overview

To fulfil responsibilities as a manager in the hospitality and tourism industry, you must have a working knowledge of how a financial or accounting system develops, maintains and provides financial information. You are then able to use the financial information to support actions and decisions that enhance the successful operation and performance of the business.



This unit introduces and explains the accounting system in the following manner:

- Implement and monitor the accounting system:
 - 1.4 Implement and control financial systems in accordance with enterprise procedures
 - 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel
- Maintaining the accounting system:
 - 1.1 Check transactions accordance with enterprise procedures
 - 1.2 Balance transactions accurately
 - 1.3 Check balances prepared by others in accordance with enterprise procedures
 - 1.6 Identify and resolve discrepancies or errors according to level of responsibility and in consultation with designated persons
- Providing financial information:
 - 2.1 Complete routine financial/statistical reports accurately within designated timelines
 - 2.2 Forward financial/statistical reports promptly to the appropriate person/department

You may read the training manual in the order as written or in the order suggested above. Notes throughout the manual will refer to other sections as and when relevant and you may choose to refer to that section at that time.

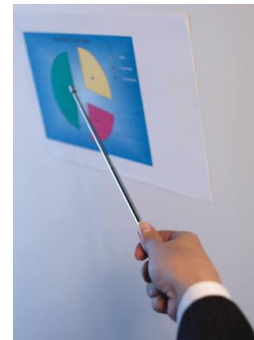
Introduction

The hospitality and tourism industry is an exciting and varied industry featuring many different types of organisations and establishments. All of these organisations provide goods and services to customers, guests and clients. A major goal of all businesses, across all industries is to achieve satisfactory performance. Managers of a business are responsible for effectively and efficiently monitoring and controlling operations to provide excellent service, quality goods and services and ensuring that adequate profits are made. This requires decisions to be made, from day-to-day operational needs to deciding on courses of action for future success. This decision making process can be categorised into four broad functions:



- Planning – managers consider and evaluate alternative courses of action and select that action that achieves the best result for the organisation
- Organising – this is the structure within which management work to achieve its plans. Setting up departments or functional areas and ensuring that employees have appropriate skills is necessary. Managers also make sure that there are adequate physical resources such as rooms, furniture and supplies to achieve the plans
- Directing – this functions covers the day-to-day management of the business. Actions, evaluating results, decision-making and solving problems are just some of the tasks that are carried out
- Controlling – to determine if performance is satisfactory, managers compare actual results with planned results. They need to know where and why there may be any differences. These differences can then be investigated and action taken to improve operations as required. This is called management by exception as only performance that is different to the plan is examined.

A wide range of resources is used to support this management process, relying on both financial and non-financial data. One of the key resources that are essential to profitability and financial success in the long term is financial management.



Financial management means the managing the finances or financial activities of a business. The extent and degree of financial management depends on the nature of size of the hospitality and tourism business. For example, the owner of a smaller owner-operated business would focus on different aspects of financial management than a department manager of a large hotel. Financial management includes decisions such as:

- Strategic business decisions
- Budgeting
- Capital efficiency
- Cash or working capital management
- Risk management
- Taxation
- Auditing and reporting
- Financial statements
- Regulatory requirements.



The underlying language of a financial management system is accounting. Accounting is a language of numbers and it is used to communicate the financial activities of a business. It is often referred to as the language of business because it defines the process of identifying, measuring, recording and communicating financial information to make informed decisions. This information is sourced from both inside and outside the business depending on the decisions to be made.

The accounting information system is the system that collects and processes data and communicates financial information. This information is collectively called financial reports. Other stakeholders such as government departments and financial institutions also rely on the financial reports from the accounting system.

(Section 1.4 Implement and control financial system in accordance with enterprise procedures provides a detailed overview of the implementation of an accounting system. You may wish to review this section before you continue).

Accounting information systems vary greatly from one business to another in the tourism and hospitality industry. The size, nature and scope of the business influence the type of accounting information system, either manual or computerised and the features within the system. To check that transactions are processed according to workplace procedures and policies, it is necessary to understand the underlying accounting system. This is best illustrated by studying the procedures used in a manual system to record transactions as the concepts and principles do not change for a computerised system but may be presented differently depending on the system used.

Types of transactions

There are a set of basic procedures that are used in all accounting information systems to analyse, record and summarise the effects of activities and events in order to generate information for use by management and other stakeholders. The term transaction is often used to collectively refer to all activities and events that are recorded in the accounting system.

External transactions and source documents

External transactions are those that occur between the organisation and outside parties such as a tour operator and a client or a restaurant and their supplier of food items. Every external transaction should be supported by a document that details the transaction. This is called a source document.

A source document serves two purposes. It provides written evidence that a transaction exists and it is used by accounting personnel to support accounting records. Examples of common source documents in hospitality and tourism establishments are:

- Purchase order – goods or services are ordered from a supplier
- Invoice – request for payment from a supplier for goods or services provided
- Cash register tapes – record cash received from cash sales
- Cash payment documentation – cheque stubs or electronic transfer lists summarising payments made
- Invoice / Check / Bill / Guest account – document provided to the customer, guest or client requesting payment for goods or services provided.



Internal transactions

Internal transactions are those transactions that affect financial information and may be related to but not prompted by external events or occurrences. Whilst external transactions are mostly entered into the accounting system at the time they occur (or as close as is practical), internal transactions can often be recorded at the end of an accounting period – whether this be a yearly or monthly occurrence. An example of an internal transaction is to recognise that assets such as a kitchen oven are used to create revenue, in this case food sales. Similarly, rooms in an accommodation venue are part of the building which is an asset and provide room sales.

Classifying transactions

The accounting system provides financial reports that summarise the financial position and the financial performance of the business for a given period of time, known as an accounting period. To facilitate this, transactions are summarised into ledger accounts that are classified into five categories for reporting:

1. Assets

These are Items of value that are owned by the business and used to create sales. Examples are cash, stock, silver, glass, linen, equipment, land, buildings, and furniture.

2. Liabilities

Any obligation or debts the business has as a result of operations are called liabilities. Amounts owed to suppliers and bank loans are examples.

3. Owners equity

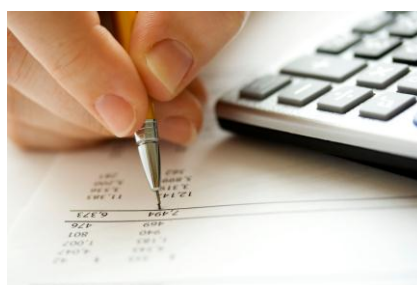
Represents the claim the owner has on the assets of the business after liabilities are deducted.

4. Revenue

Sales generated from providing goods and services in a business. Room sales, food and beverage sales and ticket sales are all examples for hospitality and tourism establishments.

5. Expenses

Goods or services used in operating a business. Wages, housekeeping, inventory or stock, cleaning costs, electricity and telephone are just some examples of expenses.



Financial performance reports summarise revenue and expenses in this basic equation:

$$\text{Revenue} - \text{Expenses} = \text{Net Profit / (Loss)}$$

Financial position reports follow a calculation known as the accounting equation:

$$\text{Assets} - \text{Liabilities} = \text{Owner's equity}$$

Note that the profit or loss for an accounting period belongs to the owners of the business and forms part of owners equity. In this way, the accounting equation is often considered the most basic tool of accounting. It must always remain in balance. This will become more evident as the accounting process is explored.

Identifying and valuing transactions

As well as considering the appropriate category for a transaction, there are certain assumptions and guidelines that underlie the methods for identifying and valuing transactions. These have evolved as the complexity and diversity of business operations has grown over time. Particularly relevant for the tourism and hospitality industry are those associated with different types of revenue transactions and asset values.

The accounting entity

The accounting entity is one of the basic assumptions for all accounting. Each establishment records only the transactions of the business in the accounting system. The activities of the owners are entirely separate. This can become a little complex in hospitality and tourism organisations where the owners of one establishment own other businesses. For example, each hotel in the Hilton Hotel Group is considered a separate business and records transactions based on its own financial activities. The Hilton Hotel This may sound very sensible and clear to us now but can become unclear in certain circumstances.

The time period assumption

Every accounting entity must collate transactions into financial reports in a timely manner. This requires that all organisations set specific time periods of equal length for reporting and measuring financial results. Each financial report must clearly state the time period being reported, known as the accounting period.



The going concern assumption

Financial reports are prepared under the assumption that the organisation will continue to record transactions summarising operations for the foreseeable future. This has implications for some of the definitions of the elements to financial reports. Relevant details will be discussed under recognition criteria below.

Accrual basis assumption

The accounting system can reflect two methods of accounting, the cash basis and the accrual basis. Under the cash method, only those transactions where cash has been received or paid are recorded. You may find this method used in small hospitality and tourism organisations, however, this is increasingly rare as often deposits are paid for accommodation prior to guest stays and food and beverage supplies are paid for by restaurants after they are received.

Many businesses choose to use the accrual basis method for recording transaction. In fact, if a business is required to report financial information to external users, the accrual method must be used because it is argued that the accrual basis provides the most useful information for decision making.

Under the accrual basis assumption, transactions are recorded that represent all sales that have been made and all expenses that have been incurred for the reporting period. It does not matter when cash is received or paid, simply that there is an obligation is enough to record the transaction. The matching principle and revenue recognition principle further re-inforce the accrual basis of accounting.

Matching principle

The matching principle requires that financial reports for a given accounting period should reflect only those transactions for that period. This means that revenues are included in the accounting period they are earned and expenses in the accounting period they are incurred.

For example, guests may pay a deposit for a function before the function is held. This deposit must not be included as revenue in financial reports until the function actually takes place. Employee wages for those staff who work at the function must be called expenses even though they may not be paid until the following day or week. The financial report for the accounting period in which the function is held will therefore reflect all the sales and all the expenses associated with the function. This provides management with an accurate summary of the profitability of the event.

Revenue recognition

In the hospitality and tourism industry, both goods and services are sold and the transactions classified as revenue. A restaurant provides food and beverages to its customers, a hotel provides accommodation and other services and a travel business may take its clients on a guided tour program. There is a clear distinction between a good and a service and the manner in which revenue is recognised.



When a customer pays their bill or check at a restaurant, an exchange of goods – the meal and payment – settling the bill or check has occurred. The accounting system records this transaction as sales and this is reported in financial statements as revenue in the accounting period the sale occurred. This is relatively straightforward and easy to understand.

Recognition of income received from providing services is more complex. In the function example described earlier, a transaction occurs when a deposit is paid by the customer to secure the function. This cannot be classified as revenue for the venue because the service has not been provided – the function has not yet been held. This must be reported differently in the financial reports.

Once the function has occurred, the service has been provided and the guest or customer pays the remainder of the charges. At this time, the accounting system can classify both this transaction and the deposit as revenue.

Businesses in the hospitality and tourism industry must also be careful to recognise revenue that is earned by them. When an establishment acts as an agent, such as a travel agent, the client pays the agency for travel services such as an airline ticket. The amount received by the business includes the face value of the ticket and commission earned for the sale. However, it is only the commission earned that belongs to the business, the face value of the ticket is revenue for the airline. The transaction must be recorded by the accounting system to reflect this.

Monetary unit assumption

Transactions are measured and expressed in terms of monetary units of the currency in which the transaction takes place. Only transactions that can be expressed in terms of money are included in the accounting system.

The cost principle

This principle is particularly relevant for the tourism and hospitality industry as the value of fixed assets reported by organisations is often high compared to other industries. Fixed assets such as property and buildings must be reported at the cost price, that is the purchase price rather than the market value, which is the price you may receive if you sell the asset now. This prevents businesses from overstating the value of what they own.

Recording transactions

To record a transaction in the accounting system, the following three steps are followed:

- Analyse each transaction in terms of its effect on the ledger accounts
- Enter the transaction information in a journal
- Transfer the journal information to a ledger account.



These steps occur repeatedly, for every transaction in every business. It is important to understand each step so that you can check that transactions are processed according to workplace policies and procedures.

Double entry

All accounting information systems record transactions based on the double entry system. Each transaction is analysed to establish what types of ledger accounts are affected and whether each ledger account is increased or decreased. Every transaction affects two ledger accounts, hence the term double entry.



Ledger accounts are classified into one of the five account categories. This determines how increases and decreases are recorded. Imagine a ledger account as a blank page. For any given account, transactions that increase the account balance are recorded on one side and transactions that decrease the balance are recorded on the other side. In accounting, the left hand side is called a debit and the right hand side, a credit. You should be familiar with the abbreviations used for these terms:

DR = Debit

CR = Credit

To become comfortable with these terms, it can be helpful to think of them as meaning left or right. Neither term refers to an increase, decrease, positive or negative on its own. It is simply an instruction for recording a transaction on the correct side of the page depending on the account category.

Each of the five account categories likes to be a debit or a credit. The normal balances for each account category and the debit and credit relationship are summarised in the table.

Account category	Normal balance	Transaction increases balance	Transaction decreases balance
Assets	DEBIT	DEBIT	CREDIT
Liabilities	CREDIT	CREDIT	DEBIT
Owner's equity	CREDIT	CREDIT	DEBIT
Revenue	CREDIT	CREDIT	DEBIT
Expenses	DEBIT	DEBIT	CREDIT

This pattern of recording debits and credits is based on a restated accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Owner's equity.}$$

$$\text{Debit} = \text{Credit}$$

When viewed this way, it can easily be seen that for the accounting equation to be in balance, debits must equal credits. Establishments do not check this for each and every transaction but use other methods such as a trial balance to verify that debits equal credits. This is discussed at 1.2 Balance transactions accurately.

Journals

In practice, transactions are analysed and recorded into a book called a journal before they are entered into ledger accounts. This provides a complete, chronological history of all transactions and lists the debit and credits for each transaction, amongst other details.

In addition, it makes the process for checking transactions straightforward and efficient because the debit and credit information is in one place. If transactions were entered directly into ledger accounts, details would be repeated and it would be necessary to search through many accounts to find the other side of a transaction to ensure the debits and credits had been allocated correctly.

At the end of an accounting period, the sum of all transactions are entered from the journals into the appropriate ledger accounts following the debit and credit rules. This is called posting to the ledger.

Special journals

To enter financial information into journals, similar transactions are grouped into categories according to the most common business transactions and a special journal is set up for each category. The number of journals and their design varies from one establishment to the next but generally in hospitality and tourism organisations, transactions fall into four categories. The four special journals are:

- **Cash receipts journal**

This journal summarises all forms of cash that the business receives.

- **Cash payments journal**

All transactions involving the payment of cash by the establishment are recorded in this journal.



• Sales journal

Records credit sales. These are sales where payment is not yet received. For example, a guest stays in an accommodation venue regularly when travelling with work and their company pays the room charge at the end of each month.

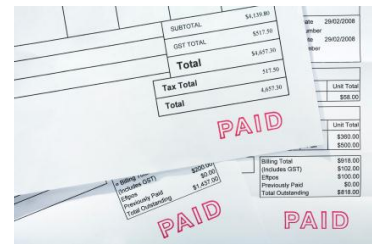
• Purchases journal

This journal summarises purchases of stock or inventory on credit. For example, food supplies are ordered and received by a restaurant but payment is not made immediately but at the end of a week, month or other time.

An example of entering two transactions into a journal is below. The transactions are:

- A guest has paid for one nights' accommodation
- A customer has paid for food and beverages in the restaurant.

The transaction is analysed to identify the appropriate journal for recording details and then the ledger accounts which are affected.



Both transactions can be separate into two parts like this:

- Payment has been received (1) from a guest for one nights' accommodation (2)
- Payment has been received (3) for food sales (4).

Since the business has received cash for both of these transactions, they are entered into the cash receipts journal as follows:

Date	Details	Room Sales	Food Sales	Other Sales	Cash at Bank
1 January	Room charge	180.00 (2)			180.00 (1)
2 January	Food & Beverage		50.00 (4)		50.00 (3)
TOTAL		180.00	50.00		230.00

The headings in the journal correspond to each ledger account that is affected by the transaction. Note that each amount is entered twice following the rules of double entry. At the end of the accounting period, amounts are entered into the ledger accounts.

The advantage of using the special journals is that only one amount needs to be entered into each ledger account rather than every transaction. In this example, cash has been received so the cash at bank ledger account must increase. Cash is an asset so the amount of 230 is entered into the debit column of this ledger account. Both transactions increase the balance of the room and food sales accounts. Sales are revenue so the amounts are entered into the credit side of the respective ledger accounts.

Because the debit and credit rules never change, classifying transactions from special journals into the ledger accounts also does not change. The cash at bank column in the cash receipts journal will also be entered into the debit column of the cash at bank ledger account because this journal summarises cash received. The table below lists the normal debit and credit actions for the special journals.

Journal	Account	Effect of transaction	Account category	DEBIT/CREDIT
Cash receipts	Cash at bank	Increases	Asset	DEBIT
Cash receipts	Sales	Increases	Revenue	CREDIT
Cash payments	Cash at bank	Decreases	Asset	CREDIT
Cash payments	Supplies	Increases	Expenses	DEBIT
Cash payments	Wages	Increases	Expenses	DEBIT
Cash payments	Other expenses	Increases	Expenses	DEBIT
Sales	Sales	Increases	Revenue	CREDIT
Sales	Accounts receivable	Increases	Asset	DEBIT
Purchases	Supplies	Increases	Expenses	DEBIT
Purchases	Accounts payable	Increases	Liability	CREDIT

General journal

The general journal is used to record transactions that are not entered into the four special journals or used when the four special journals are not used. An example of such a transaction would be the purchase of an asset on credit. The general journal may look something like this:

Date	Details	Reference	Debit	Credit

Transactions that are entered into the general journal are analysed to determine the accounts that are affected. Then, increases or decreases to these accounts are identified and the debit and credit rules applied to enter the transaction in the journal. Often, if a transaction involves cash, the effect on the cash account is determined first and the effect on the other account second. This is because it is often easier to identify the effect that a transaction has on cash.

An example of a purchase of a fixed asset, kitchen equipment on credit for 20,000 would be entered into the general journal as follows:

- 1) Analyse the transaction to determine the accounts affected:

Equipment

Obligation to supplier

2) Identify the account category:

Equipment is an Asset

Obligation to supplier is a Liability

3) Determine if the account category has increased or decreased:

Equipment is an Asset and has increased

Obligation to supplier is a Liability and has increased

4) Assign debit or credit:

Equipment is an Asset and has increased so enter as a DEBIT

Obligation to supplier is a Liability and has increased – CREDIT

5) Enter the transaction in the general journal

Date	Ledger account	Reference	Debit	Credit
1/1/1	Equipment	Invoice no	20,000	
1/1/1	Accounts Payable	Invoice no		20,000
	Purchase of kitchen equipment			

At the end of an accounting period, the amounts from the general journal are entered into the appropriate ledger account.

External transactions that you might find entered into the general journal are:

- Purchase or sale of fixed assets on credit or for cash
- Withdrawal of funds from the business by the owner
- Correcting previous posting errors
- Transactions conducted when a business is first established
- Foreign currency adjustments.



Checking transactions

Now that you have examined the process for entering and processing transactions and the underlying accounting principles of an accounting information system, you are able to check that transactions have been processed according to workplace policies and procedures. This requires that:

- Transactions are recorded accurately in respective journals
- Transactions are transferred from journals into ledger accounts correctly

- Adjustments are made to transactions that do not relate to the current accounting period
- Both internal and external transactions that relate to the accounting period are included in the ledger accounts.

Accuracy

Special journals

Checking that transactions have been entered into special journals and then ledger accounts according to workplace policies is relatively straightforward when special journals are used. Using cash as a starting point, transactions that feature cash are entered into either the cash payments or receipts journal and those sales or purchases where no cash has changed hands yet are entered into either the sales or purchases journal.

When entering details from a source document into the journals, it will become obvious if the incorrect journal is chosen as the ledger account headings that are needed will not be in the journal. For example, if personnel processing a cash receipt attempt to enter the transaction in the cash payments journal, they would not find a column corresponding to sales but to expenses. This would alert them to the error before any amounts are entered and posted to ledger accounts. In this way, the use of special journals provides a check in itself. This applies to both manual and computerised accounting systems.

Also, ledger accounts will contain a small number of entries because it is only the totals for an accounting period or other period of time that are entered into the appropriate debit and credit columns. It is not difficult to check that the correct totals have been entered from the journals if needed.

General journal

The general journal contains external transactions that occur less frequently in the business. Also, internal transactions that rely on information entered into special journals and the ledger accounts are processed in the general journal.

It is likely that general journal entries are checked more often than special journals as there is more risk of error because:

- The general journal offers no internal checking system like the special journals other than a debit and credit entry are required
- The monetary amounts of the transactions can be significant
- The transactions to be entered in the general journal can be quite complex and often require a more advanced knowledge of accounting principles and concepts than those entered into special journals.



To check if these transactions are entered correctly into the accounting system, the general journal entry is usually compared to source documentation. For the example above, this involves ensuring that the value and the description of the asset are correct and assigned to the appropriate ledger account. The journal may also detail the name of the supplier which would also be verified. Workplace documentation will often provide guidelines on the appropriate ledger accounts to use for the different types of transactions. Following from this it is usually clear if the debit and credit rules have been applied correctly.

Completeness

Completeness is an accounting term given to the process of ensuring that the accounting system includes all the information as expected. In this case, completeness refers to checking that all transactions that relate to the current reporting period are included in financial reports.

Internal controls are established to give assurance that source documents will be entered into the accounting system by accounting personnel in a timely manner. These source documents represent valid transactions. Implementing and monitoring internal controls for different transactions are discussed in section 1.4 Implement and control financial systems in accordance with enterprise procedures and 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel.

The matching and revenue recognition principles require a review of external transactions entered into the accounting system so that revenue and expenses that relate only to the current reporting period are included in financial reports. This may mean an adjustment to amounts already entered into ledger accounts and require internal transactions to be processed. Sometimes the accounting term, balance day adjustments or adjusting entries is used to describe this process.

Typically, all ledger accounts are summarised and reported in a trial balance so that this review can be conducted. Details of the adjusting entries that may be required are explained in Section 1.2 Balance transactions accurately.

1.2 Balance transactions accurately

The accounting cycle

The accounting cycle is the name given to the steps and procedures that are followed to ensure that all transactions are recorded correctly and included in appropriate financial reports. It can be summarised as follows:

- 1) Perform transaction analysis
- 2) Record transactions in journals
- 3) Post journal entries to ledger accounts
- 4) Prepare an unadjusted trial balance
- 5) Process adjusting entries
- 6) Prepare a final trial balance
- 7) Prepare financial reports



Classification, recording and posting transactions is discussed in section 1.1 Check transactions accordance with enterprise procedures. Also, section 1.3 Check balances prepared by others in accordance with enterprise procedures, includes updating ledger account balances from subsidiary ledgers and other procedures. These occur before the trial balance is prepared. You may choose to refer to this section now.

The trial balance

The double entry accounting system requires that for every transaction, equal amounts of debits and credits be recorded in the ledger accounts. This is verified by preparing a document called a trial balance. Some establishments will call this first trial balance an adjusted trial balance because it does not include any adjustments that may need to be made to balances. Others simply refer to this as a trial balance. You will need to know the correct terminology used in your workplace.

The trial balance lists all the ledger accounts in the following order with their current balances:

- Assets (current and non-current)
- Liabilities (current and non-current)
- Owners Equity
- Revenue
- Expenses.

The monetary amounts of accounts with a debit balance are listed in the left column and the amounts of accounts with a credit balance are listed in the right column. The totals of the two columns should be equal. When this happens, the ledger accounts are said to be “in balance.”

Note that a trial balance is always prepared at the end of an accounting period so that financial reports can be produced but can be prepared at any time to test that transactions balance accurately. An example follows.

Example company Trial balance End of the month		
Trial Balance		
Account name	Debit	Credit
Cash at Bank	24,800	
Accounts Receivable	2,950	
Prepaid Rent	3,000	
Furniture	16,500	
Accounts Payable		13,100
Capital		31,250
Drawings	3,200	
Revenue		7,450
Salary expense	950	
Electricity & Gas	400	
	51,800	51,800

Correcting errors

It should never be assumed that balances in the ledger accounts are accurate simply because the debit and the credit column in the trial balance equal. An entry may have been made and posted to the wrong account or two accounts could be correctly identified with the wrong amount in both cases. Also, a transaction may have been omitted entirely or not journalised.

Some errors are discovered by chance or during normal operations. For example, if an accounts receivable amount is incorrect a customer will usually point this out when an invoice is sent. Other errors are identified through procedures designed to check the accuracy of ledger accounts such as a bank reconciliation which verifies the balance of the cash ledger account. Refer to 1.3 Check balances prepared by others in accordance with enterprise procedures for more information about the bank reconciliation.

The trial balance should always be reviewed to ensure that the ledger account names that appear with balances make sense for the business. This is particularly important in computerised accounting systems where default ledger account settings are used. If the debit and credit amounts do not equal when a transaction is processed, the difference is posted to a default account. Default accounts should always be documented so you will know if this account appears on a trial balance, a transaction may be processed incorrectly. In a manual system, experience, knowledge of the business and comparisons with prior period trial balances serve to inform this review.

When a trial balance does not balance, there are either errors in the accounts, errors in preparing the trial balance or both. It can be helpful to adopt a systematic approach as follows:

- Recalculate the totals for both debit and credit columns
- Calculate the difference between the debit and credit totals and compare to the ledger accounts listed. It may be that an amount is in the wrong column, has been listed twice or a ledger account is omitted
- Ensure that all ledger accounts are listed in the trial balance
- Recalculate the ledger account balances
- Verify the debit and credit entries in each ledger account. This may require a review of one or more journals.



Any errors that are found must be corrected. The general journal is used to record any adjustments that may need to be made to ledger accounts, otherwise the trial balance is simply prepared again to correct any mathematical errors.

Adjusting entries

Under the cash method of accounting, there is no need for adjusting entries or adjustments to the accounts because only the cash transactions for the reporting period would have been recorded. However, hospitality and tourism organisations generally operate under the accrual method of accounting.

At the end of an accounting or operating period, adjustments are made to ledger account balances that assign revenues to the period in which they were earned and expenses to the period in which they are incurred. Also, related asset and liability account balances are brought to their correct accrual-basis amounts.

For hospitality and tourism establishments, some of the common adjusting entries are:

- 1) Unearned revenue – a form of cash is received but the service has not yet been provided
- 2) Prepayments - expenses that have been paid in advance
- 3) Accrued expenses – expenses that have been incurred but not yet paid
- 4) Depreciation expense



Unearned revenue

An adjustment for unearned revenue is required when cash is received from customers, guests or clients before the goods or services are provided. This creates a liability for the establishment which is recognised in a ledger account called unearned revenue.

In order to process the correct adjustment, it is necessary to understand how the initial transaction was processed in the accounting system. Consider a deposit for an amount of 450 is included as revenue in the trial balance of the example company but the service has not been provided.

The effect of the initial transaction on the ledger account is:

DR Cash at Bank	450	
CR Sales Revenue		450

Then the adjusting entry in the general journal is:

DR Sales revenue	450	
CR Unearned revenue		450

For the next month, when the service is provided, the adjusting entry is:

DR Unearned Revenue	450	
CR Sales Revenue		450

Prepayments

When expenses are paid in advance, the most common for hospitality and tourism being rent and insurance, a ledger account called Prepayments records the total amount of the expense paid in advance. This is categorised as an asset because a benefit will be received in future accounting periods. An adjustment is made to record the amount of the expense that has been used in the current reporting period, one month for example.

In the trial balance for the example company above, the balance for Prepaid rent is an amount of 3,000. This is for three months' rent. The accounting period is one month so the monthly rent expense is an amount of 1,000. The adjusting entry in the general journal is:

DR Rent expense	1,000	
CR Prepaid Rent		1,000

Accrued expenses

The most common accrued expense in hospitality and tourism organisations is wages and salaries. Payroll is rarely processed on the last day of an accounting period so the payroll costs in the unadjusted trial balance will not include amounts owed to employees. An adjustment is required to match this cost to the correct accounting period. The general journal entry if 150 is owed to employees for wages appears as:

DR Wages expense	150	
CR Payroll payable		150

Depreciation

Depreciation is the portion of an asset's cost assigned to an expense for the current reporting period to recognise that the asset has contributed to producing revenue. It is an internal transaction processed by the establishment that does not involve cash.

There are many calculations that can be used to calculate depreciation which will be documented in workplace policies and procedures. The journal entry for adjusting for depreciation is the same, whatever method is used. If depreciation on the asset furniture has been calculated at an amount of 780, the adjusting entry is:

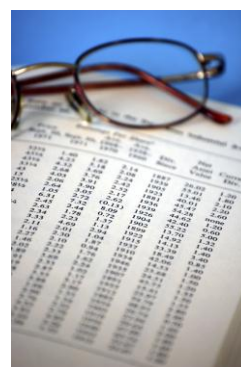
DR Depreciation expense – Furniture	780	
CR Accumulated depreciation – Furniture		780

Accumulated depreciation is called a contra-asset account and reduces the balance of the asset account. It is used because the value of assets in the accounting system must be recorded at cost according to accounting principles.

The worksheet

In practice, adjusting entries are only made in ledger accounts at the end of a financial year, for both manual and computerised accounting systems. However, hospitality and tourism establishments prepare reports for management use for different accounting periods during the year. It is common for a worksheet to be prepared, either manually or electronically from which balances can be checked and financial reports prepared.

The basic format of the worksheet contains the unadjusted trial balance, a set of debit and credit columns for recording adjusting entries and a set of debit and credit columns to calculate final ledger account balances. Financial reports are prepared based on the balances in the worksheet.



Trial Balance Worksheet						
Account	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	26,011					
Accounts Receivable	11,000					
Prepayments						
Stock	35,000					
Furniture	25,000					
Accumulate Depreciation furniture						
Equipment	40,000					
Accumulate Depreciation Equipment						
Accounts Payable		25,850				
Unearned Revenue						
Accrued Expenses						
Interest Payable						
GST Collected						
GST Paid						
Bank Loan		25,000				
Capital		60,000				
Drawings	8,000					
Cash Sales		48,620				
Credit Sales		11,000				
Purchases						
Wages	17,620					
Wages on Costs	3,524					
Rent	1,815					
Insurance	1,650					
Utilities						
Mobile Phone						
Office Supplies	550					
Depreciation Furniture						
Depreciation Equipment						
Interest Expense						
Closing Stock	15,000					

1.3 Check balances prepared by others in accordance with enterprise procedures

Introduction

To maintain an effective internal control system, management implement processes and procedures to safeguard the assets of the business and ensure the reliability of accounting information. Financial controls are designed to ensure that financial information is valid, reliable, complete and accurate. Separating the responsibility for related transactions and recording and controlling information about assets form part of these controls.



Consider cash received at the end of a shift. Actual cash is forwarded to the cashier or other responsible person who deposits the amount in the bank. Documentation summarising the cash received is sent to the accounting department and the cash receipts journal updated. At the end of an accounting period or other time, the ledger account cash at bank is updated. Other accounting personnel check that the balance deposited in the bank account is the same as the balance in the ledger account. In this way the third employee checks the balances prepared by the other personnel involved in this process. This gives management assurance that the balance reported is accurate, complete and reliable.

The use of special journals to process transactions separates responsibility in this manner. Transactions are recorded and posted to the ledger account by different personnel ensuring that the balances prepared by others are checked appropriately.

As transactions are entered into special journals, details are recorded in columns that most accurately describe the activity or event that has occurred. The same employee may be responsible for one or more special journals or different personnel maintain each of the four special journals. Whatever the structure may be, at the end of a month or other period, the totals for each column in each journal are calculated, ready for posting to the general ledger. Sometimes, one person from the accounting department will post all four special journals or this responsibility is divided amongst a number of staff. Before the journals are posted, each journal is reviewed to ensure:

- Transactions are in the correct column
- The calculations are correct
- Any unusual amounts are confirmed by source documentation.

Once all the balances are checked and any information is verified, the journals are posted to the ledger accounts.

Subsidiary ledgers

Another method that enables timely and efficient checks on the balances of others is the use of subsidiary ledgers and control accounts to process of transactions. Imagine the accommodation venue that has many guests who do not pay their bill on departure but have arranged to pay later. The bill, including all the guest's details, is transferred to the accounting system as an accounts receivable. The accounts receivable ledger account is not designed to retain the details of each individual guests stay. This information would be lost or difficult to find when tracking the guest's bill to acknowledge or follow up payment. Consequently, a separate ledger account would need to be created for each guest. The general ledger would become unworkable with so many accounts and the process for recording and reporting transactions lengthy and inefficient.

Hence, when a large amount of detailed information about a certain ledger account must be kept, a separate ledger called a subsidiary ledger is used. The total of the balances in the subsidiary ledger should equal the balance of the related account in the general ledger. This related account is called a control account. It is important to understand that the subsidiary ledger is not part of the general ledger. It is not used in extracting the trial balance and does not need to conform to the rules of debit and credit. It serves to provide the detail that supports the control account balance in the general ledger.

Control accounts and subsidiary ledgers are used in hospitality and tourism establishments for the following general ledger accounts:

- Accounts receivable
- Accounts payable
- Inventory (when applicable)
- Fixed assets.



Reconciliation

To check the balances of the subsidiary ledgers and control accounts, reconciliation is performed. There may be a standard document that needs to be completed for the reconciliation process. The balance in the control account and the total of the individual accounts in the subsidiary ledger are recorded on this document and any differences noted. These must be investigated and resolved where possible. In order to do this, it is necessary to know the source of the data in each subsidiary ledger. This is explained below.

Account Receivable

The accounts receivable subsidiary ledger lists all the individual customers, guests or clients that have not yet paid for goods and services provided by the establishment. The accounting term sometimes used for these individual accounts is debtors. The special journals that update the subsidiary ledger are:

- Sales journal with credit sales for each individual account
- Cash receipts journal with amounts received by debtors to settle their accounts.

Checking account receivable balances also includes analysis of individual accounts and total balances. It is from the details in the subsidiary ledger that credit limits are monitored, customers are invoices and the accounts receivable ageing schedule is prepared. Also information that assists managers to monitor performance such as analysis of accounts receivable ratios are taken from the subsidiary ledger.

Accounts Payable

The accounts payable subsidiary ledger lists each supplier along the amounts owed to them. This is sourced from the:

- Purchases journal that lists creditors that have provided goods but have not been paid
- Cash payments journal that records payments to creditors.

Once the subsidiary ledger is balanced, the information from the subsidiary ledger can be used to monitor cash flow. Managers can see total amounts that need to be paid and the corresponding due dates for each creditor. This assists with planning for future cash requirements so that the payments to creditors can be made on time or if not, negotiations for different settlement terms can be discussed.

Inventory

For hospitality and tourism organisations that hold inventory or stock such as food and beverage outlets, an inventory subsidiary ledger is maintained. This includes the number and value of each item of inventory held. It is updated from the:

- Purchases journal where supplies have been received but not yet paid
- Cash payments journal that records supplies that have been received and paid.



A physical count of stock called a stocktake is conducted at the end of an accounting period to verify the amounts included in the subsidiary ledger. The list of items held in the subsidiary ledger are provided to two counters and results given to accounting personnel. The number of each item is checked and any adjustments to the subsidiary ledger are processed through the general journal. This process means that not only does the subsidiary ledger and the control account reconcile but the value is verified independently by a count of actual items held.

Fixed assets

The fixed asset subsidiary ledger or the fixed asset register details the fixed assets that are owned by an organisation. Each asset is assigned a unique number and details such as the purchase price, the current value and any changes to the asset are recorded. Changes to fixed asset balance are generally infrequent, even in hospitality and tourism organisations so a formal reconciliation between the fixed asset register and the control accounts may only be performed once or twice a year. The fixed asset register is always updated from the general journal. Sales and purchases of fixed assets are processed as and when they occur. At the end of a financial year, the depreciation expense for each asset is posted to the fixed asset register as well as any necessary adjustments to asset values. The assets are grouped into categories such as equipment, furniture and the like that correspond to the appropriate ledger accounts. Both the depreciation and asset ledger accounts will clearly state the total amounts for the category of assets that should be included.

The final step

To complete the reconciliation process, any adjustments that need to be made to subsidiary ledgers are recorded in the general journal and processed before the trial balance is prepared. Documentation is filed according to workplace procedures. This is necessary as it may be needed for the next reconciliation to ensure discrepancies were resolved and also provides evidence to management or internal auditors that internal control procedures are followed.

Before the trial balance is prepared, there is one other balance that is important to reconcile – the cash at bank ledger account. This balance is verified every accounting period or as required by comparing it to the bank balance as reported by the bank. This is called the bank reconciliation.

Bank reconciliation

A bank reconciliation checks that the amount in the ledger account cash at bank in the accounting information system agrees to the balance in the bank account. This is important for all organisations but especially hospitality and tourism establishments where there are very often large volumes of cash handled. This represents a significant asset to the organisation that must be kept safe. Using a bank account greatly reduces the amount of cash held on the premises and enables some transactions to be conducted in a more effective manner. For example, payments can be made directly between bank accounts rather than carrying cash from one location to another.

At the end of each month or other time frame as detailed by workplace procedures a bank statement detailing the activity that has taken place in the bank account is either sent to the business or accessed from secure on-line banking arrangements. The bank statement shows the cash balance at the beginning of the month or other time, all deposits and withdrawals and the final cash balance at the end of the chosen reporting period.

It can be a little confusing when viewing a bank statement for the first time as the statement also uses the term debits and credits as column headings similar to a ledger account. This is because the bank statement is actually the bank's ledger account that they keep for each business or individual. The debits and credits represent transactions from the bank's perspective whereas the ledger account from the accounting system is from the businesses perspective. When there is a positive cash balance or cash in the bank account, this is an asset and therefore a debit balance in the ledger account in the accounting system. For the bank, this is a liability (the bank "owe" the cash to the business) so there will be a credit balance on the bank statement.

As cash transactions occur during the accounting period, the bank account balance and the accounting information system are updated with the movement of cash. Theoretically at least, the bank statement should reflect the same transactions as the cash receipts and the cash payments journals. The balance in the bank account and the ledger account should be the same. However, in practice, at any particular point in time, this rarely occurs.

Some of the possible reasons for this difference may be:

- Timing differences – there may be a delay in a payment to or from the bank account that is already recorded in the accounting system
- Errors – a clerical error may be made in recording an amount in either the cash payments or cash receipts journal



- Dishonoured payment – a guest or customer's payment is recorded in the accounting system but not honoured or paid by the guest's bank
- Other differences – these can occur due to a delay in recording deposits or withdrawals that originate in the bank statement.

The steps to prepare a bank reconciliation are:

- 1) Gather the information as follows:
 - the last bank reconciliation statement that was prepared
 - cash receipts and cash payments journal (or other record of cash movements) for the period to be reconciled
 - the opening balance of the Cash ledger account from the accounting system
 - the bank statement covering the period to be reconciled
 - Standard bank reconciliation statement used in your workplace.
- 2) Enter the balance shown on the bank statement and the balance from the ledger account into the bank reconciliation statement
- 3) Check that previous outstanding items have been recorded on the bank statement
- 4) Add to or subtract from the bank balance the items that are in the ledger account but not on the bank statement. This may include:
 - Deposits not received by the bank yet
 - Outstanding cheques
 - Calculate the adjusted bank balance.
- 5) After checking that details are correct, adjust the ledger account for any items that are on the bank statement by recording the details in the general journal. These include:
 - Cash receipts for direct deposits
 - Cash payments made as electronic transfers
 - Bank fees and charges.
- 6) Compare the adjusted bank balance and the adjusted ledger account balance and they should now agree
- 7) Complete the bank reconciliation statement and file according to workplace procedures

After the ledger account cash at bank has been verified and the control accounts reconciled to subsidiary ledgers, the unadjusted trial balance is prepared and adjusting entries completed.

A final trial balance is then produced that verifies that debits and credits equal after all adjusting entries are posted. Senior accounting personnel or management may review the trial balance to check balances for the last time.



Once it is confirmed that the adjusted trial balance is correct, this trial balance can be used to prepare financial reports. You may wish to refer to Section 2.1 Complete routine financial/statistical reports accurately within designated timelines at this time for this discussion.

1.4 Implement and control financial systems in accordance with enterprise procedures

The accounting or financial system involves the collection of source documents, records, procedures, management policies and data processing methods used to transform data from activities and events into financial information that can be relied upon for management decision-making. Financial reports will also meet the needs of other stakeholders such as government departments, financial institutions and any parties interested in the profitability, strategy or operations of the business.

Operation and development of an accounting system

Accounting systems can take many forms, from simple manual systems to sophisticated computerised systems. The operation of all systems has three basic steps or phases:

- Inputs
- Processing
- Outputs.



Data or perhaps a clearer term to use is facts, are entered into the accounting system based on activities or events that have occurred in the business. These facts are summarised into journals and processed into the appropriate ledgers, ultimately ending in the general ledger, which represents the permanent record of assets, liabilities, equity, revenue and expenses. Financial reports are the output from the system and are prepared for stakeholders both inside and outside the business.

To adequately satisfy these three phases, an accounting system must be dependable. Sometimes the accounting system is designed in-house by accounting and technical staff or is adapted to the needs of the organisation by these staff as it has been developed by an outside source such as an accounting firm. Alternatively, as is the case in many smaller hospitality and tourism organisations, a commercially developed accounting software package may be purchased. As the organisation grows and needs change, the accounting system must be revised, sometimes to accommodate a larger number of transactions or transactions of a different kind. Whether in the initial development or revision phase, the development of an accounting system follows a three-step process, systems analysis, systems design and system implementation and review.

Systems analysis

This first step of the process requires a study of the organisation to gather facts that will provide a thorough understanding of the organisation's information requirements and sources of information. The different functions of the organisation are analysed to determine the best or optimal combination of people, forms, records, procedures and equipment for the accounting system. For existing systems, this information is usually part of the policies and procedures manual. It is any deficiencies or suggestions for improvement that are identified in this phase.

Systems design

Based on the facts gathered during the analysis phase, the new system is designed or improvements made to the existing system. This can range from a minor change such as an updated form for guests to complete at check-in to a conversion from a manual to computerised process. There is often a team of relevant personnel involved depending on the nature and scope of the new system. Systems design should always take care to consider:

- Personnel and their job descriptions that required to operate the new or changed system
- Source documents to record transactions
- Accounting records and procedures to process data
- Reports to be prepared
- Any automated features of the system.

The basic concern of the systems design phase is to ensure that the flow of information through the accounting system is efficient and reliable internal controls are developed (discussed further below).

Systems implementation and review

This is the final step in the development or revision of an accounting system. Policy and procedure manuals are updated as a formal description of the procedures required for the new system or new process. The personnel needed to operate the system are trained and supervised closely to ensure they understand the new or revised functions. Any new documents, records or equipment are also purchased or the designs released.

When revising a system or process, usually the new and the old systems operate together until management are sure the new system is reliable.

Key considerations when developing an accounting system

Cost versus benefits

There are a number of important considerations for management when developing an accounting system. The first of these is cost versus benefits.



The value of the benefits of any new or revised accounting system usually comes from the output of the system. This can be measured by the timely, reliable and relevant information provided for management decisions, the capacity to report to owners and to meet regulatory or government reporting requirements. The costs of design, analysis and implementation must be balanced appropriately with these benefits.

Compatibility

All accounting systems must be compatible with the particular characteristics of the business. This includes:

- Size and nature of the business
- Qualifications and competencies of staff
- Location such as local, regional, national and international.

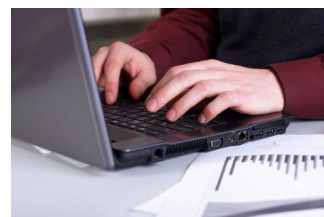
To ensure appropriate compatibility, it is necessary to have a thorough understanding of the business and the industry. Some unique characteristics of the hospitality and tourism industry are explored under the internal control sections.

Flexibility and Adaptability

No business is static and over time, the size, scope and nature of organisations change. New products or services are offered, the internal structure of the business changed such as new departments added or removed or aspects of the business sold. The accounting system must be developed to adapt to these changes.

Internal control

Every accounting system must have adequate controls built in to the system. This means that the system must protect the inputs – the data, process the data through timely, reliable and accurate procedures and provide output that meets the needs of decision makers, also in a timely, accurate and reliable manner. Such a system is called a system of internal control and is discussed fully below.



Internal control systems defined

One of the most important functions of management is to efficiently use and protect the assets of the business. In a smaller business, such as an independent restaurant or small accommodation venue, the owner is usually always present and performs this function themselves. In larger establishments, this becomes impractical and the owner must rely on others to help manage and control operations. The system designed to help managers is an internal control system.

The Internal control system can be defined as a system of procedures and forms established in a business to safeguard its assets and ensure the reliability of accounting information. It consists of all the measures used by a business to:

- **Safeguard its assets**

This objective focuses on the protection of assets from theft and inefficiencies. For example, cash is kept in secure storage and assets such as food supplies should be stored to avoid waste. Fixed assets should be maintained so that they are in good working order.

- **Promote efficient operations**

Efficiency is maximised by ensuring that policies from staff recruitment through to technology to support business functions are reviewed and new efficient methods adopted as appropriate.

- **Maintain accurate and reliable accounting records**

Financial data must be carefully recorded and processed so that the reports produced by the system are relied upon for accuracy and completeness to assist external and internal users of reports monitor and evaluate business performance.



- **Encourage and promote compliance with business policies and government regulations**

This objective is an important characteristic of an internal control system and is monitored by regular internal and external reviews. These reviews are called audits and assess the extent to which internal control procedures are followed. In doing so, they also provide an independent verification of the financial records.

An effective internal control system also needs to address the following points:

- **Management responsibilities**

It is the responsibility of management to ensure that the internal control system meets any legal requirements set down by government bodies. These may cover requirements for the preparation of financial statements or require owners to give an opinion in the annual report.

- **The need for controls**

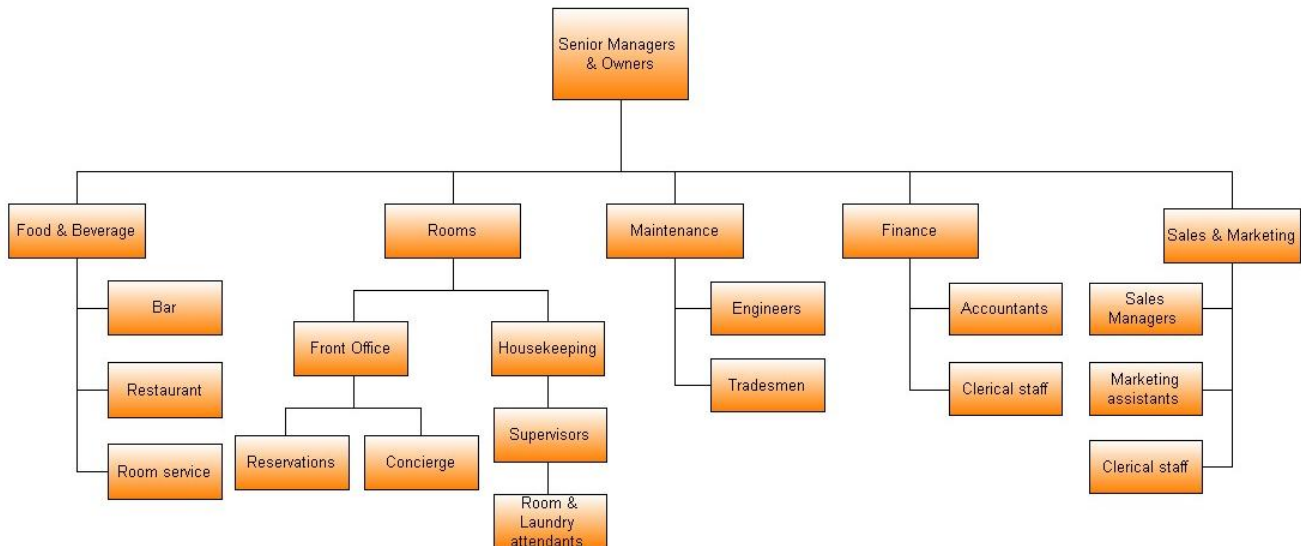
Because the flow of information in a business is constant, different departments of different people will need to access the same information. Controls must be in place to ensure that the information remains secure and accurate.

Structure of the internal control system

An internal control system includes the control environment, the information system and internal control policies and procedures. It is important to highlight that this relates to the entire organisation. The system can be classified into two main types, administrative controls and accounting controls.

Administrative controls

These are systems and procedures that are established to encourage and promote adherence to policies and provide efficiencies in operation. One of the foundations of an effective internal control system that falls under this category is an organisation chart. This shows the structure of a business and establishes levels of authority, responsibility and lines of communication. Generally, the larger the hospitality and tourism establishment, the more complex the organisation chart. An example of a such an organisational chart is below.



Examples of other administrative controls are:

- Written procedures for recruitment and hiring staff
- A system of authorisation and responsibility
- General operational policy and procedure guidelines
- Manuals identifying sales and purchases procedures
- Details of performance reports from employees.

Accounting controls

Accounting or financial controls refer to procedures put in place to meet the following objectives and are the focus of this unit of study. It is necessary in an effective internal control system that accounting controls are designed to provide reasonable assurance that these objectives are met.

Objective	Description
Financial records are complete	All transactions are recorded and any omissions are prevented
Financial records are valid	All recorded transactions are “real” and properly authorised
Financial records are accurate	Transactions are properly valued, errors are minimised and records are classified correctly and kept in a timely manner
Adequate safeguards	Ensure that all assets are properly safeguarded against loss, theft and are maintained appropriately
Accountability	Ensure all staff are assigned clear responsibility through clearly defined job descriptions and duties

Principles of internal control systems

To ensure adequate levels of administrative and financial controls and therefore an effective internal control system, there are some basic principles that to consider. The actual control measures implemented are affected by the size and nature of the business and management's view on the combination of controls that are most appropriate. This section summarises some of the more important principles and is followed by the application of these principles to establishments in the hospitality and tourism industries.

Establish clear lines of responsibility and supervision

In some capacity in all organisations, individuals carry out business transactions, record the transactions and manage the assets resulting from activities and events. An important aspect of an effective internal control system is to employ or hire competent, trustworthy people. This begins with good procedures for screening and selecting appropriate people. Responsibilities of the position should match the ability and authority of the person employed. For example, when hiring managers, people with appropriate management skills should be selected and employed.

It is also necessary for employees to have a clear understanding of the responsibilities of their role. This begins with the organisation chart. It then extends to specific tasks or duties such as receiving food supplies, counting cash at the end of a shift or accepting payment for an accommodation bill. Responsibilities should be assigned so that there is no overlapping or undefined tasks. Imagine a cash register where two members of staff are responsible for the cash contents. If there are problems, it is difficult to determine the error and therefore take corrective action. The internal control system is better when a task is restricted to one employee at one time.

Policies and procedures for training also support employees to understand and perform the responsibilities of their role appropriately. This covers training when staff are first employed, both in organisational policies and in specific tasks as well continuing development of skills and evaluation. Training can be occur within or external to the establishment.

Part of the internal control system is also management supervision. Management must continually observe operations as no internal control system can always safeguard against the likelihood of theft, fraud or ineffective operational practices.

Responsibilities and duties should also be rotated amongst employees, wherever possible and for appropriate periods. This gives employees the opportunity to be familiar with the entire system and gain a better understanding of the relationships between inputs, processing and outputs. It also encourages employees to carry out tasks according to policies and procedures since they know someone else will soon be taking over and possibly reviewing their activities.

Separate or divide the responsibility for related transactions



To minimise the possibility of errors, theft or fraud, responsibility for related transactions should be separate so as the work of one employee is verified or acts as a check on the work of another. This is not two employees carrying out the same task but two different employees carrying out two different control functions. This ensures that no single person has too much control over the assets of the business.

One common example in a hospitality establishment that illustrates this point is the responsibility for ordering goods, receiving goods and paying for the goods received. This responsibility sits in the purchasing area. Separating these tasks to individual employees minimises the opportunity for any one employee to order and receive goods for their own use but authorise the business to make payment.

Separate record keeping and control of assets

One of the more important principles of internal control is to separate the functions of recording information about assets and the actual control of the assets. For example, when a cashier is responsible for a sales register and therefore cash sales in the department for their shift, they should not be responsible for entering the transactions in the cash receipts journals in the accounting system. This minimises theft and contributes to ensuring that financial records are valid, accurate and complete.

Storeroom personnel may control other assets such as food and beverage inventories but different employees maintain the record of what is actually in the storeroom in the accounting system.

The number of employees who have access to assets should also be limited. This requires management to balance access requirements that do not hinder efficient operations but that minimise the risk of theft or fraud. Too many employees with access increase the chance of risk or fraud but too little can affect customer service and quality. For example, if only one employee has access to cash reserves in a larger establishment yet two or more areas need to provide notes and coins to customers or guests for change, there may be a delay in getting that change to the appropriate register and the customer or guest must wait.

Surprise checks or reviews for both the recording and actual control of assets are carried out as part of an effective control system. There are two aspects to consider when conducting spot checks. The first is that the employee conducting the spot check should be independent or not part of the operation checked. For example, if supplies are checked, this person should not be involved in recording or counting supplies. The second is that spot checks should be frequent but not scheduled in a predictable pattern such as once a week on the same day.

One further control procedure for employees with control of assets is to impose a mandatory holiday break. This discourages dishonest activity, as employees know that someone will take over their responsibilities while they are away. This can also highlight any weaknesses or changes in control procedures that may have been evident before.

Prepare written procedures

Once procedures have been established in all areas of an organisation and for each job or role where control is needed, these procedures should be documented. This is particularly important in the hospitality industry where employee turnover is high. Employees should always be able to access these documents so that they know what the policies and procedures are.



It is very difficult to establish a set of procedures that will fit every possible situation in the hospitality and tourism industry because there is such a wide variety of types, sizes and styles of establishments. Even in two establishments that appear similar, management policy, the type of customer or other reasons means the procedures for any particular control area differs.

One simple example of a written set of procedures for handling a credit card payment on checkout from an accommodation venue might be:

- 1) Review the guest account to ensure a credit card number is recorded
- 2) Obtain the credit card from the guest
- 3) If credit card details have not been recorded, check the card is valid for use and complete the details for payment either by using the manual or electronic processing equipment
- 4) If credit card details are recorded, confirm the amount paid and enter the information into the processing equipment
- 5) Obtain guest signature or other means of verification such as a password or PIN number
- 6) Return the credit card to the guest with a copy of the bill



Documentation procedures

Documents provide the basis for determining activities and events that have occurred throughout an organisation. A customer invoice provides an itemised record of the goods and services provided, cheques are used to make payments and purchase orders request supplies. These documents and others that are similar should be pre-numbered whenever possible. In this way, individual documents can be tracked and prevents the same document form being used more than once. When pre-numbered documents are used, the employee receiving the document should sign it to acknowledge responsibility and accountability.

Forms and reports also form part of the documentation of in an organisation. They are often used to provide management with information about different aspects of the business so that performance can be reviewed, evaluated and revised when necessary. Usually the accounting department or personnel are responsible for designing forms and reports in consultation with appropriate management.

The accounting department or person is also responsible for designing, ordering, storing and issuing all pre-numbered and other documents. This is to ensure that documents are used appropriately. The sequence of all numbered documents are checked regularly to ensure none are missing.

Set standards and evaluate results

Another important principle for an effective internal control system is to have a reporting system that indicates whether all aspects of the business are operating properly. As part of the written guidelines given to employees about how to perform specific tasks in their role, standards of performance should also be established. A common standard of performance in the tourism and hospitality industry relating to revenue is occupancy and regarding costs is food cost percentage. By setting a standard, manager's performance and the performance of the establishment are evaluated against that standard.

Mechanical and electronic devices

In order to protect assets and maintain the accuracy and efficiency of the accounting process, mechanical and electronic devices should be used wherever possible. These can be physical controls such as:

- A safe or vault for cash and secure document storage

- Cash registers
- Passwords, cards or combinations locks restricting access to buildings or areas in the organisation
- Point of sale (POS) systems
- Electronic drink-dispensing bar equipment
- Electronic time-keeping for employee shifts that records the number of hours worked.

There are also computer programming controls built in to a computerised accounting system. These include:

- Confirmation that data has been processed in the correct sequence
- Proof of accounting and mathematical integrity
- Limits to monetary amounts that can be processed
- Password access to authorised users
- Anti-virus and other software that identifies unauthorised interference.

Maintain adequate insurance

Insurance is a guarantee that is purchased to provide monetary compensation for loss, damage or theft of an organisation's assets. If assets are fully insured, they can be recovered or replaced and continue to contribute to the profit making capabilities of the business. Insurance can also cover a loss of profits if there is a delay in replacing assets.

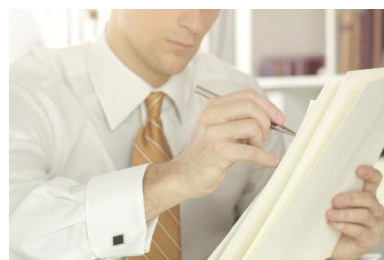
Internal audits

The purpose for internal audits is to continually review and study the internal control system of an organisation. Sometimes, there is an internal audit department depending on the size of the business and in other circumstances, the owner or most senior manager is assigned this responsibility as part of their role.

During the year, various record keeping systems and administrative processes are reviewed to ensure that operations are conducted effectively and documented procedures are being followed. If a procedure, form or report is not used for its intended purpose or is not needed anymore then the internal audit should address this and recommend a change. One of the reasons why this is important is that employees may begin to adjust procedures for fraudulent purposes and if this is not noticed, they will know the internal control system is not working and continue this practice.

An audit trail exists in every good internal control system that documents each transaction from the time it was initiated through to final recording in the accounting system. Internal auditors follow and verify this audit trail to ensure it is maintained. A simple example of an audit trail may be as follows:

1. Sale of food and beverages is recorded on a pre-numbered sales document
2. The customer presents the pre-numbered document for payment
3. Payment is processed through the point of sale system using the pre-numbered document as a reference
4. The pre-numbered document and the cash are stored in the cash register



Almost all organisations, regardless of size also undergo external audits. Objective, external parties such as an accounting firm conduct these audits.

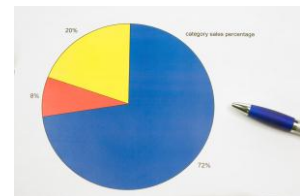
Explain the reasons

The final principle of an internal control system that encompasses all others is to ensure that all employees understand the implications for internal control that apply to their position. The importance of minimising loss, theft and fraud in the context of the operations performed should be clearly explained. It should also be clear to an employee how the specific internal control procedures they are asked to perform fit into the internal control system of the entire establishment.

Limitations of internal control systems

All systems of internal control should provide a high level of assurance that assets are safeguarded and the accounting records meet the objectives of reliability, validity, accuracy and completeness. However there are limitations, including the following:

- The cost of implementing a system where absolute assurance is met far exceeds the benefits an organisation would expect to derive
- For smaller organisations, there is always a compromise it is not possible to implement some internal control principles due to cost and or capability
- Employee attitudes influence the effectiveness of an internal control system. Tired, bored and disinterested employees can be careless resulting in a less effective system
- Even though duties are separated, internal control systems cannot negate the chance that employees may work together to act dishonestly. This is called collusion.



Internal control challenges in the tourism and hospitality industry

For businesses in the hospitality and tourism industry, internal control systems are many and varied. All systems adhere to the objective, structures and principles that have been introduced so far. However, there are challenges that are unique to the industry that will require a certain focus on and combination of actual internal control measures to ensure an effective internal control system is maintained.

Business size

The size of the hospitality and tourism business influences the nature of the internal control system. Many establishments are not considered large organisations, even if they are part of an international chain so it is more difficult to implement a comprehensive internal control system. This places responsibility for many internal control functions with senior managers or owners. The limitations this places on the procedures that can be performed must be acknowledged and considered.

Cash transactions

One of the key characteristics of the hospitality and tourism industry is the high level of cash transactions that are conducted every day. Cash is defined as a method of payment and includes notes and coins, cheques, credit card payments, vouchers, electronic transfers and any other legal form of payment. It is the asset most susceptible to theft. Cash can be readily transferred into another asset, it is easy to transport and conceal, it is difficult to distinguish cash that belongs to the establishment from cash the employee may already have on hand and is very desirable.

Typically, revenue is earned or generated in the hospitality and tourism industry from activities that require the use of cash. The accounting system must appropriately record this cash so that all revenue earned by the business is recognised and profits, for each area or department and the establishment as a whole can be calculated accurately.

It is therefore very important that appropriate internal control procedures are established to protect cash held on the premises as well as handling cash that is received by the business (cash receipts) and cash that is paid out from the business (cash payments).

Whilst all the principles of a good internal control system apply to cash transactions, of particular importance are the following:

- The separation of responsibility for receiving cash, banking cash and maintaining accounting records for cash
- Cash receipts for each day should be banked the same day where possible
- An automated summary of cash receipts from the POS system should be printed out by an employee other than the cashier and used as a basis for updating accounting records
- All payments should be made by cheque or electronic transfer with appropriate authorisation by designated personnel.



Labour intensive implications

One of the defining features of the hospitality and tourism industry is that it is labour intensive. This means that people rather than machines carry out the activities required for organisations to operate. Imagine a robot or computer creating a meal in a restaurant rather than a chef! This has two main implications for internal control systems.

Payroll costs, that is the amount paid to all employees for the services they provided, are often the single largest expense, especially in hospitality establishments. It is always a balance between providing quality customer service and efficient operations with wages and salaries paid and scheduling employee hours. This justifies particular attention with respect to internal control procedures.

Furthermore, the hospitality and tourism industry experiences a much higher employee turnover rate than other industries. The turnover rate is the percentage of employees that leave and need to be replaced compared to total employees for a given period. This has implications for training, skill development and knowledge of operations, all which must be considered by the internal control system.



The principles that will ensure proper control is exercised over payroll may include the following:

- Clear policies regarding the screening and selection of new employees
- Training of new employees to be cost efficient and appropriate to the position
- Separation of responsibilities from hiring new staff, approval of pay rates and processing of payroll
- Mechanical or electronic capture of hours worked if appropriate otherwise forms should be designed that must be completed for hours to be recognised and processed
- Pre-numbered documents such as identification number for each employee, processing documents are used
- Spot checks are conducted on payroll sheets to verify accuracy of calculations
- A separate bank account is maintained for payroll to provide more accurate means of verifying and reconciling payments to employees.



Inventory

Even though the assets of inventory in hospitality establishments in particular may only be a small proportion of total assets, the value of many individual products can be quite high. Consider rare food supplies or expensive beverage supplies. Internal controls need to ensure that these items are not lost or stolen by dishonest employees.

Limiting physical access may control these items. They are stored in a secure area accessed only by lock and key, combination lock, swipe card or similar. Periodic spot checks by independent employees would also be part of the internal controls implemented.

Sales volatility

The hospitality and tourism industry is very susceptible to the highs and lows of the economic cycle. In a strong economy, household income is high and spending in the hospitality and tourism sector increases. In a weak economy, household income is low and spending decreases. Accurately predicting these fluctuations and adjusting operations to the changes in demand are necessary to remain successful in the industry.

The standards of performance set as part of the internal control system are often utilised for such predictions as managers ensure that these standards are not compromised by changes to operations.

E-commerce

Many tourism and hospitality organisations conduct business over the internet. Reservations are made directly or indirectly through booking agents, deposits paid and entire holiday and accommodation packages are arranged, paid and confirmed on-line.

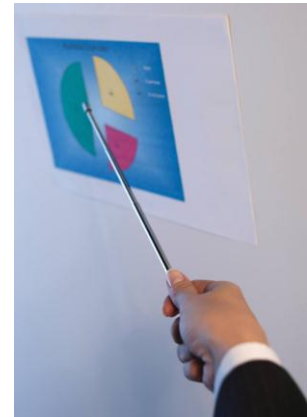
This creates new risks for internal control as unauthorised users can gain access to confidential details. To convince customers, guests or clients that it is safe to use on-line facilities, the establishment must ensure that data is secure.

Two standard techniques that should be part of any internal control system that operates on-line are firewalls and encryption. Firewalls limit access to a local computer system or network but allow local users to access the internet. Encryption scrambles words by a mathematical process and can only be read by a system that knows the process.

Implementing internal controls

With the principles and objectives of internal controls in mind as well as the particular challenges for businesses in the hospitality and tourism industry, processes should be developed for both the financial and administrative functions of the business that satisfy internal control requirements.

Administrative controls refer to the organisational structure, authorisation, performance standards and employee policies and procedures. It is beyond the scope of this unit of study for you to explore each of these in detail.



Financial or accounting controls

Financial or accounting controls refer to the internal control processes that ensure both internal and external financial statements and reports provide users with information about the business that is valid, accurate, reliable, timely and complete.

To effectively and efficiently process and produce reports or the outputs from the financial system, those responsible must have access to records of all transactions within the business. A fully integrated accounting system describes a financial system where all transactions recorded by all the different functions in the business are stored in one system. This can apply to both manual and computerised systems. Most software packages, PMS or manual options available to the hospitality and tourism industry are considered to be fully integrated systems.

This diagram illustrates the structure of a fully integrated financial system.



Integrated Accounting System

Financial sub-systems

Supporting the accounting system depicted above is a range of subsystems that are integrated into the whole system. The operation of each system has three basic steps or phases, input, processing and outputs that are unique to that system. Each sub-system collects processes and reports transactions relating to similar business activities and events. The most common found in most accounting systems, manual or computerised in the hospitality and tourism industry are:

- Cash
- Sales
- Fixed Assets
- Payroll
- Purchases
- Accounts receivable
- Accounts payable
- Inventories.



The subsystems vary according to the size, structure and complexity of the operating activities of the business. It is useful to consider internal control requirements in terms of these sub-systems as there are different processes that will have to be implemented to ensure the objectives of internal control are met.

Internal control and cash

The cash sub-system records all receipts and payments within the organisation. Remember that cash is defined as any legal form of payment such as notes and coins, credit card payments, cheques, direct deposits and other electronic transfers. Cash is the asset most at risk of theft and fraud in any hospitality and tourism establishment. It is therefore important to establish effective internal controls for handling cash and recording cash transactions. Three particularly important principles for cash that were introduced earlier are the separation of responsibilities, appropriate documentations procedures and secure payment processes. These principles are applied to the control of cash receipts, cash payments and petty cash. An additional control feature regarding planning or cash management is also considered.

The bank account

An essential element of the internal control of cash is the requirement that each day's cash receipts are deposited into a bank account. In addition, all major payments are made by cheques or electronic transfers from a bank account. Internal control is strengthened because the bank record of deposits received, cheques paid and transfers made provides and independent cross check on the internal records of the business. Establishments may use more than one bank account to carry out these functions, depending on the size of the business, management policies or other internal or external requirements. For example, travel agencies may be required to help client deposits in a separate bank account from their normal operations account until the service is provided.

Control of cash receipts

Internal control over cash receipts ensures that all cash receipts are deposited in the bank and recorded in the accounting system. Given the high volume of cash transactions in the hospitality and tourism industry and that these cash receipts can represent a significant portion of revenue it is very important that internal control procedures are developed for the different sources of cash receipts.

Cash receipts from cash sales

Cash is received in hospitality and tourism business as payment for goods and services such as food, beverage, tours and travel services in several areas of the establishment at the same time. Each area will have a point of sale terminal or cash register depending on the equipment available. The process for recording the sale is as follows:



- Each sale is entered or rung up on the cash register or terminal
- The register or point of sale terminal is located in a position that allows the customer to see the amount recorded.
- Each sale is recorded on the locked-in tape inside the register or terminal.
- The customer, guest or client receives a receipt printed from the register or terminal that summarises their transaction
- The cash drawer opens only after the sale is recorded by the register or terminal and at the end of the day by a supervisor or other authorised personnel.

At the end of the day's trading or shift, the supervisor collects and counts the cash in the register or terminal drawer and enters the information in a pre-printed form sent to the accounting department or personnel. The register tape that summarises the cash sales for the day or shift is attached to the form. The contents of the cash drawer are then forwarded to the cashier for deposit into the bank account.



This procedure clearly separates the responsibility of handling cash, both during the shift and at the end of the day from the responsibility of updating the accounting records. Neither the cashier or supervisors have access to the accounting records nor do accounting personnel have access to cash.

Some businesses may use pre-numbered sales dockets for cash receipts as an additional internal control feature. Often larger accommodation venues use this feature so that the sales docket can be attached to the guest's bill or the details of the sale updated manually on the guest's bill.

The sale is recorded on a register or terminal as above as well as recorded on a sales docket. The customer is given one copy and the duplicate is retained and stored in the register or terminal. At the end of the day or shift, a supervisor or other independent employee adds the total of the sales dockets to ensure none are missing. The total is compared to the total sales recorded on the register tape.

Cash short and over

In spite of internal control measures, errors still occur when cash sales are recorded at the point of sale terminal. As a result, a cash shortage or cash surplus (too much cash) is discovered. A cash shortage occurs when the total sales on the cash register tape are greater than the cash counted from the cash drawer. When cash from the cash drawer is greater than the recorded balance on the cash register tape, a cash-over situation has occurred. The accounting system records cash shorts and overs and it is expected that these will cancel each other out over time. However, if this does not happen, there may be a problem with cash being lost or stolen. In this way, monitoring shorts and overs becomes an effective internal control technique, especially when employees know that shorts and overs are reviewed.

Cash receipts by mail

The amount of cash receipts by mail varies greatly for establishments in the tourism and hospitality industry. Sometimes charges in accommodation venues are not paid on checkout and payment is forwarded by post at a later date. Sometimes a deposit is sent by mail to reserve a room or place on tour for example. Generally, forms of payment other than notes and coins are sent by mail as if the payment goes missing, cheques or vouchers can be cancelled and replaced but notes and coins cannot!

Internal control procedures for cash received by mail include:

- Designated personnel open mail and the cash received recorded on a pre-printed form. This employee is separate from the cashier and the accounting function
- One copy of the form is sent to the cashier for banking along with the cash amounts and will added to the banking for that day or shift
- Another copy of the form is sent to the accounting department or personnel to update the accounting records.

This ensures that the person opening the mail and the cashier cannot access the accounting records and accounting personnel have no access to cash.

Cash receipts by direct deposit

Many customers, guests or clients may also make payment directly into the bank account of the hospitality and tourism establishment instead of sending payment by mail. This practice enhances internal control as cash is never required to be handled on the premises. Notification confirming the direct deposit is usually sent on or around the day of the deposit to accounting personnel so that accounting records can record the cash receipt. The bank reconciliation ensures that the accounting system will record this cash receipt even if notification is delayed or forgotten.

Control of cash payments (or cash disbursements)

Cash payments are made to cover a wide variety of obligations for hospitality and tourism businesses. Examples are:

- Cash purchases
- Payments to suppliers for goods and services received
- Payroll



- Other expenses
- Repay loans
- Purchase fixed assets.

These obligations can be separated into payments made for external purchases or obligations and payroll, an internal function. Internal control processes for payroll will be reviewed in a later section. The focus for now is determining appropriate procedures for the authorisation of cash payments, the approval of cash payments, additional internal controls for cheques and the issue of notes and coins for minor cash disbursements.

Approval of cash payments documentation

Before a cash payment can be made, there must always be appropriate documentation to support the payment. This documentation can be part of the inventory purchasing process for a food service outlet, it can detail the fixed assets bought by the establishment or summarises services that have subsequently been provided to customers such as airplane fares. The common term used for such documentation is an invoice.

It is very important that the responsibility for approving invoices is separate from the purchasing and receiving functions as well as separate from employees designated to prepare cheques and electronic transfers. To approve an invoice, it must be verified that goods and services were properly ordered and received as expected. Documentation such as purchase orders and receiving orders provide evidence of this. Often an approval stamp is used to indicate this.

In some establishments, the accounting department or personnel will collate all supporting documentation. It will be checked for accuracy and then forwarded to appropriate personnel for approval. In smaller organisations, this may not be possible.

Some larger accommodation and food service establishments use a voucher system to further strengthen internal controls over cash payments. When a document such as an invoice is approved for payment, a pre-numbered voucher (used in sequence) is prepared. This details the information from all other documents that support the payment and provides a space for recording the date of payment and cheque details. All of the supporting documents are attached to the voucher and given to the person who prepares the cheque payment. The cheque is then attached to the voucher. Final approval can be given as the voucher verifies that the transaction is valid and authentic.

Authorisation of cash payments

Once invoices have been approved for payment, they are sent to designated personnel who authorise payment. This is an important separation of duties in the cash payment process as different personnel approve invoices, process payments and authorise payments. Even smaller hospitality and tourism venues attempt to separate these responsibilities as much as possible.

Once invoices have been approved, they are sent for payment. Payment can be made by cheque or electronic transfer. Generally, the following steps are followed:

- Personnel responsible for cash payments check all invoices for appropriate approval and sort into payment type, either cheque or electronic transfer
- Cheques are printed and electronic transfer data completed



- Authorisation is given for payment depending on the payment method and invoices are marked as paid
- Payment is distributed to suppliers, to employees for payroll or other relevant parties according to the cash payment processed.

There are unique internal control procedures for each payment method and these are explored below.

Approved invoices, copies of cheques and approved electronic transfers are sent to the accounting department where entries are made into the accounting system to reflect the transactions that have occurred. Once again, personnel entering this information must be separate from those approving, processing and authorising cash payments.

Controls over payment by cheque

Payment by cheque is in itself an important control over cash payments. Firstly, cheques are a pre-numbered document so they can be tracked. They should be used sequentially so that any missing numbers are easily noticed. Secondly, to be valid, a cheque must be signed by authorised personnel who are often senior management and have been approved by the bank or financial institution. It is their responsibility to study the evidence supporting the payment before it is approved. It is common practice to require two cheque signatories.

When cheques are used for payments, they must be treated like notes and coins and stored securely. This is usually in a safe with access limited to employees who prepare cheques for payment and not employees who are authorised to sign cheques. Any cheques that cannot be used must be voided and kept.

Some organisation can utilise functions in the computerised accounting system or use another mechanical form that can print details on cheques such as the name of the recipient and the amount. This is an internal control procedure in itself as this generally prevents anyone from altering the amount to be paid.

Access to this automated process will be limited to those employees who prepare cheques and are usually by password or other security measure such as a key that allows a machine to operate. Furthermore, cheques are usually printed in a secure environment to reduce the risk of error.

Once cheques have been signed, they should be sent out promptly to minimise any chance that they could be lost or otherwise missing. Usually a list is created to monitor the cheques that have been printed, sent for approval, returned and sent.

Controls over payments by electronic transfer

Electronic transfers sends cash directly from the bank account of the business to the bank account of the party with whom the obligation to pay lies such as suppliers or employees in the case of payroll. When an invoice is approved for payment, a proforma document, either within the accounting system or printed manually is created and the details of all the cash payments to be made by electronic transfer are entered. The name of the party to be paid, the payment amount and a code relating to that party's bank details are included on this form. This proforma document is then authorised by senior personnel to indicate that payment is authorised. If the form is manual, signatures are required similar to a cheque. If the document were part of the accounting system, a password or code would be required to indicate that payments are authorised. This list is sent electronically or delivered to the bank and the cash payments are made.

The internal control system must ensure that authorisation passwords, codes relating to confidential information and delivery to the bank are all surrounded by sound security measures.

Controlling petty cash payments

To make minor cash payments or cash disbursements, businesses keep a small amount of notes and coins on hand. This is called a petty cash fund. Many tourism and hospitality organisations feature a well used petty cash fund, as there are often many minor expenses that are incurred. For example, a guest arriving to check in may not have enough local currency on hand to pay a transport fare such as a taxi. The accommodation venue, in the interests of quality service, uses the notes and coins from the petty cash fund to pay the fare. The charge may be added to the guest's bill or perhaps waived entirely depending on policies and procedures. Sometimes in a food service outlet, supplies for one ingredient have run out and there is no time to re-order from the supplier. An employee is sent to purchase the ingredient locally and re-imbursed from the petty cash fund.



It is important to note that even though the amounts paid from the petty cash fund may be small, over time the total amount of expenses paid in this way may grow quite large. Therefore, internal control procedures such as these must be established:

- The responsibility for administering the petty cash rests with one employee
- A specific amount of notes and coins is kept on hand; sometimes this is enough to cover one month's transactions but may be any other appropriate measure. This is called the fund limit
- All payments from the petty cash fund must be supported by a petty cash slip or voucher
- The petty cash fund is replenished to the fund limit at least monthly so that the accounting records can accurately state the expenses incurred by the business.

A petty cash voucher is prepared for every payment made from the petty cash fund. It shows the amount paid, the purpose of the payment and the date paid. It requires two signatures, one from the person receiving the payment and one from the employee responsible for the petty cash fund. Attached to the petty cash slip or voucher will be an original proof for payment of the expense. In the example above, a receipt for the transport fare will have been provided. This receipt is attached to the petty cash voucher to verify the validity of the payment.

At suitable intervals, personnel that are not responsible for the petty cash fund record expenses from petty cash vouchers in the accounting system. Sometimes a petty cash book is used that summarises like expenses in columns and it is simply the totals of each column that are shown in accounting records. For other systems, all petty cash transactions are recorded. This separation of responsibilities serves to further strengthen the internal control of cash.

Cash budgets

So far, the focus on internal controls for cash has been establishing procedures within the recording process. However, an important aspect of control over cash is planning cash that will come into the business (cash inflow) and cash that will be paid out (cash outflows). A cash budget helps a business to manage cash by expressing these plans for a given future period. It will show whether or not there are sufficient cash inflows, to make future payments to suppliers, to employees and for other expenses. This is particularly important for hospitality and tourism organisations who not only experience seasonal and economic volatility in sales but because a high portion of these sales are in cash, need to carefully consider and plan cash inflows so that cash outflows can also be managed and adjusted as required.

Estimating the amount of cash expected from cash sales, and the amount of cash required for cash payments and any other outlays creates cash budgets. The difference between these two amounts is added to or subtracted from the existing cash balance in the bank account so that a forecast for cash needs is established. Managers or owners can act on this information appropriately. For example, if for a given period, there appears to be insufficient cash, a request can be made to the bank for short term financing. If there is excess cash, management may choose to purchase fixed assets or upgrade existing fixed assets.

It is for these reasons that the cash budget along with internal controls over the recording of cash that are the priority of internal control systems for organisations in the hospitality and tourism industry.

Internal control and Accounts receivable

Accounts receivable are amounts owed to a business by customers, clients, guests and any other outside party for goods and services that have been provided but where payment was not made. These are called credit sales. Until payment is made, they are considered debtors to the business. Collectively they are called accounts receivable. In fact, it is common for larger organisations such as accommodation venues and resorts to use the term accounts receivable and smaller tourism and hospitality businesses use the term debtors.



The accounts receivable sub-system manages individual debtor accounts by issuing invoices for payment and credit notes, recording and processes payments received and issuing receipts to debtors to acknowledge a payment has been accepted. Reports or outputs from the system include summaries of all outstanding amounts, summaries of payments received and any other activities that have occurred that are needed by management.

Most larger organisations establish a credit department to manage and control the accounts receivable sub-system and in smaller organisations, the most senior personnel usually assume these responsibilities.

As is the case with cash, internal control procedures must be established for accounts receivable to safeguard this asset. The main issues in controlling receivables are the management of credit policies, the recording of adjustments to debtor accounts, the separation of cash handling and cash accounting duties and the separation of responsibilities that surround the verification of final debtor balances.

Managing credit policies

The common phrase for the practice of permitting customers, guests or clients to receive goods and services but make payment later, is to say that credit has been granted or extended to these parties. When a sale has been made, this represents revenue for the business. For that revenue to contribute to profit and the success of the business, it must be received by the business, even at a later date when credit has been granted. It is therefore important that there are clear management policies to determine:

- Which customers will be granted credit
- What the terms for payment will be
- How the terms and conditions are communicated to customers
- Satisfactory collection of amounts owing
- Methods to encourage payment on time
- Methods used to follow up outstanding amounts.



In the case of an accommodation venue, clear policies are also required to:

- Set a limit on the value a guest's individual account can reach for their stay
- Advise employees on course of action should the limit be reached.

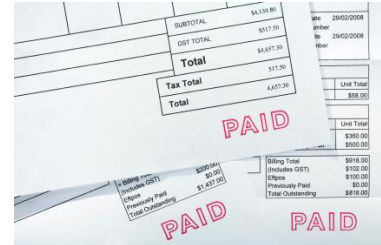
These written procedures form part of the internal control system as they set a plan of action for the operation of this function. Examples that are adopted across tourism and hospitality organisations are:

- Obtaining a credit report from an external source that summarises the credit history of individuals or businesses. This is often called a credit check
- In the case of an accommodation venue, a credit card imprint or authorisation is taken at check-in and the house limit temporarily processed. The guest has not made a payment but the establishment has confirmation that if the account reaches the house limit, funds are available for the guest to honour the payment
- Clear communication of credit policies on invoices, documentation that surrounds payment locations and in all appropriate correspondence
- Regular timely reports provided from the accounts receivable sub-system and provided to employees responsible for following up the collection of amounts owing
- Debtor accounts that have been outstanding for a period of time are reviewed by senior managers of the business who will determine appropriate action
- In some accommodation venues where guests stay for longer periods, the guest is provided with a copy of their bill at least once a week.

Managers can determine the success or otherwise of credit policies by monitoring the amounts collected over time. If these gradually rise, adjustments may need to be made. This is explored further in Section 1.5 Monitor financial systems and provides input on possible improvements to appropriate personnel.

Adjustments to debtor accounts

Debtors are created in the accounts receivable sub-system from sales invoices that are provided by the relevant area of operations where the sale was made. In the case of an accommodation venue, when the guest checks out, a copy of the approved bill is sent to accounts receivable personnel. Depending on the computerised accounting system and the nature of the business, a debtor account may already exist. Accounts receivable personnel check for accuracy and prepare and send an invoice to request payment. For example, accommodation venues transfer guest details from an in-house account to a city ledger account automatically when amounts for goods and services that have been provided may not have been settled on departure. The city ledger account forms part of the accounts receivable sub-system.



Sometimes the amounts on the sales invoices or city ledger account are incorrect or have been disputed by clients or guests. This may occur before or after the request for payment has been made. It is an important feature of internal control that only accounts receivable personnel are authorised to adjust amounts on debtor accounts. Adjustments are supported by appropriate documentation and will always be authorised by senior, designated personnel. Employees who handle the cash received from debtors and process sales invoices must never adjust debtor accounts as this puts the asset at risk.

Separation of cash handling and cash accounting duties

For there to be strong internal controls in the accounts receivable sub-system, it is critical that employees in the credit department or who perform these duties have no access to cash. For example, the cash received from client or guest could be stolen, the debtor's account marked "uncollectable" to indicate that the debtor will not pay, the establishment will stop attempting to collect payment and adjustments to profit made to recognise that the amount will not be received.

To minimise or prevent this occurrence, cash receipts are collected as detailed in the section above, controlling cash receipts received by mail. Documentation is sent to accounts receivable personnel so that the accounting records can be updated with the debtor's payment. In this way, cash and the debtor records are separate.

Separation of responsibilities for managing final balances

Internal controls surrounding the accounts receivable function are further strengthened by review and verification procedures. As part of collection procedures, monthly statements that summarise the amounts owed by debtors are prepared. These statements should be verified, and sent out to debtors by personnel other than those responsible for accounts receivable. Another independent check should be made to ensure that the statements sent to customers agree to accounts receivable records.

Internal control and Purchases

The purchasing function in any organisation is responsible for ensuring that supplies, services and equipment are available for use to either sell as goods and services to customers, clients or guests or in the case of equipment, support the sale of goods and services. The purchasing sub-system is in the accounting or financial system records, co-ordinates, processes and reports these activities.

Internal control of purchases is required to ensure that purchases are made only for goods and services required by the business, to assign responsibility for who orders what type of goods and services, to check receipt of goods and services and to approve invoices.

To achieve strong internal controls over purchasing the following four principles are particularly important:

- Establish responsibility and supervision
- Forms and documents
- Separation of responsibilities
- Prepare written procedures.



Establish responsibility

Generally, establishments in the hospitality and tourism industry will assign responsibility for purchasing to a number of employees who become the purchasing department or to one or two employees depending on the size and nature of the business. The organisation chart along with clear job descriptions informs personnel of their responsibilities. For example, in a large accommodation venue, one person is responsible for ordering food and beverage supplies and another person in the purchasing department is responsible for ordering room amenities supplies. For a travel business, one person may be assigned to ordering services from airlines and another from accommodation venues. This minimises duplication of orders, mistakes and opportunities for dishonest practices.

Prepare written procedures

Written procedures that detail the tasks required for each of the different responsibilities in the purchasing function also need to be determined as part of the internal control system. These procedures provide clear instructions for employees to follow and are particularly important for the hospitality and tourism industry where employee turnover can be high. The areas of purchasing to be covered are highlighted in the forms and documents section that follows.

Separation of responsibilities for transactions

All significant aspects of the purchasing process are recorded on forms or documents. These serve to record purchasing activities and divide responsibilities across several individuals or departments, depending on the establishment. The four basic documents that should feature in most hospitality and tourism organisations are:

- Purchase requisition
- Purchase order
- Invoice
- Receiving report.

Purchase requisition

Department managers or in smaller organisations, employees with overall responsibility for a function, are responsible for ensuring there are adequate supplies of goods and services. Since control of purchasing is co-ordinated by the purchasing department or a small number of personnel, departments cannot deal directly with suppliers. Instead, a pre-numbered, proforma document called a purchase requisition form is prepared with a description of the supplies required, the amount needed and the desired date of delivery. A signature authorises the request. There are often three copies of the purchase requisition, the department or person requesting the supplies retains one and the original and one copy are sent to purchasing.

The role of purchasing personnel is to confirm that the request can be met at the right price and within the desired time frame. Part of the responsibilities of this position is to authorise such requests, usually to a certain monetary limit. More senior personnel are required to approve purchases that may be beyond such limits however the basic process is still the same.

Purchase order

Once the purchase is authorised, a purchase order is prepared by purchasing personnel. Again, this is a pre-numbered, proforma document. Purchase orders are used in number order or sequentially and typically, four copies are produced and distributed as follows:

- 1) Sent to the supplier to request goods or services
- 2) Forwarded to the department initiating the purchase to confirm the order has been made
- 3) Retained by the purchasing department
- 4) Forwarded to the accounting department with the purchase requisition attached so that accounting records can be updated

It is common practice to ensure that the purchase requisition number is recorded on the purchase order and the purchase order number recorded on the requisition to further strengthen internal controls.

It is important to note that many establishments in the tourism and hospitality industry modify this process as it can become quite cumbersome, especially for food supplies that are ordered every day. Instead, agreements are established with approved suppliers and a particular purchase order form is used. The ordering department must complete this form and are authorised to send the request directly to suppliers. Procedures usually ensure that the purchasing and accounts department receive prompt notification of this. The use of computerised systems supports this process.

Supplier's invoice

An invoice prepared by the supplier is an itemised listing of the goods and services provided and indicate the monetary amount owing. It usually accompanies the goods and services that have been delivered. The supplier may also send a copy of the same invoice to the accounts department.

The supplier usually includes the purchase order number and perhaps the purchase requisition number on the invoice to assist the accounting department in verifying the purchase.



Receiving report

An employee in the department or function that requested the goods completes the receiving report. It is used to verify that the goods requested have been received and should be checked item by item against the supplier's invoice. If any items need to be returned or are missing, this is noted and verification by a third party, such as the delivery driver's signature acknowledges the missing goods or the returned items. A copy of the receiving report accompanies the returned goods where necessary.

When the receipt of goods is finalised, the completed receiving report and the accompanying invoice are forwarded to the accounting department or personnel.

Final approval

When the accounting department receive the documentation confirming that goods or services have been received, this is matched to the original purchase requisition and purchase order. The following information should be compared and verified:

- Purchase requisition, purchase order and invoice numbers match
- Invoice prices compared to purchase order quotes
- Quantities compared to purchase order and receiving report
- The invoice is arithmetically correct.

Once verified, the invoice is approved. A stamp or voucher system as described in the cash payments section confirms this approval. The invoice and all the accompanying details are sent to cash payments to be processed.



The use of documentation in the purchasing process clearly defines responsibilities and the duties that need to be separated. Even if modifications are made to the process, the basic separation of tasks should still be maintained to ensure an effective internal control system.

Internal control and Payroll

The internal control procedures reviewed for cash payments are intended to control payments made externally by hospitality and tourism organisations. Since the cost of labour can be such a proportion of operating costs for establishments in the industry, it requires particular attention with respect to the implementation of internal controls. The main objectives for internal control of the payroll sub-system focus on ensuring that transactions are:

- Valid – employees exist
- Complete- all hours worked are paid
- Accurate – correct hours and pay rates are used
- Accountable – responsibility for tasks is clearly defined.

Procedures and processes specifically address the following internal control principles:

- Establish responsibility
- Separate or divide the responsibility for related transactions

- Documentation procedures
- Use of mechanical and electronic equipment
- Internal review.

Confidentiality and privacy

The payroll sub-system holds private and personal details of all employees of a tourism and hospitality organisation. Family information, contact details, medical history and details of remuneration and conditions of employment are all examples of information stored.

There are ethical and even legal requirements an establishment must follow to ensure that this documentation remains confidential and only accessed by personnel with appropriate authority. Paper copies of documents are usually kept in a form of secure storage and computerised records are only accessed with the relevant password or other security measure.

The bank account

To facilitate control of payroll payments to employees, most establishments will set up a separate bank account from that used for other cash payments. This makes it easier to ensure that there are always sufficient funds to meet payroll commitments for each pay period. In addition, if employees are paid by cheque and the pay period falls just before the end of the month, the difference between the accounting records that will have processed the payment and the bank that may have received all the cheques from employees may be great. The bank reconciliation process that reconciles the bank balance in the accounting records with the bank can become quite cumbersome. Using a separate bank account enables the establishment to adopt a different reconciliation procedure for this account.

New employees and changes to conditions of employment

The authority to hire employees for new positions or to replace departing personnel should be charged to one or two senior people in an organisation. A large establishment may have a personnel department who are responsible for this task and smaller hospitality and tourism organisations may assign this responsibility to a general manager or senior personnel in a department or functional area. It is important that those with the authority to hire new staff are completely separate from the function that prepares payroll.



In addition to this, any changes to employee conditions, such as a change of position, change to a pay rate or even when an employee leaves the organisation, should be co-ordinated by the same person or persons. There will be documentation to complete and authorise in each of these cases that will be forwarded to those processing payroll in accordance with individual workplace policies and procedures.

Recording and authorising hours worked

To ensure that payroll costs are valid, accurate and complete, an effective system of internal control will feature appropriate recording and authorisation procedures. Such procedures are dependant on the nature of employment, the size and scope of the organisation and management policies.

Fixed salary

Employees in the tourism and hospitality industry are paid according to two broad sets of conditions. The first is employees whose conditions stipulate a fixed monetary amount, commonly quoted as an annual figure. This type of pay is often referred to as a salary. The salary processed by payroll is generally the same for each pay period, a proportion of the annual figure – commonly paid fortnightly or monthly. These employees do not record the hours they work each day unless the conditions of employment include extra remuneration for overtime.



Authorisation to process salaries for each pay period will follow one of the following procedures:

- Senior personnel in functional areas, department managers and the general manager utilise a pre-prepared payroll listing of all salaried employees and verify that each employee was present and working for the pay period. Any variations, such as holiday leave, absence due to illness, extra remuneration for hours worked would be noted on this form and sent to payroll for processing
- Designated personnel receive or have access to a draft payroll report from the computerised accounting system detailing the employees and the monetary amounts that will be processed. This is verified using appropriate system functions and can automatically advise those preparing payroll that authorisation has been given
- Designated personnel as mentioned in the first point above, only advise payroll of any changes required in processing salaries. This is called exception reporting. It is assumed that all employees on a fixed salary should be paid their normal salary for that pay period. It is only exceptions to this that need to be authorised. There will be appropriate documentation for such variations to be recorded.

Wages

The second set of conditions is employees who are paid an hourly rate for every hour that they work. This type of pay is most often called wages. Hospitality and tourism organisations tend to feature a high proportion of payroll paid as wages, either in monetary value or volume due to both volatility in sales and labour intensive duties and tasks.

It is important that the internal control system captures an accurate account of the hours worked so that employees are paid correctly and accounting records appropriately document the activities and events that have occurred in the establishment. There must be a set of procedures in place for employees to record hours worked and a process for authorisation and independent verification of these hours.

There are a number of formal time-keeping systems an organisation can adopt to record hours worked. Each system will feature a mechanism for recording the time an employee started work, sometimes called clock-in or check-in. It will also capture the time they finished, sometimes called clock-out or checkout. The cost and the benefits each system provides must be considered by management to be appropriate for the degree of internal control required in each establishment. Three options used in hospitality and tourism establishments are:

- Paper-based time cards for each employee that are inserted into a machine that record the clock-in and clock-out time on the card. These are collected and reviewed at the end of a pay period
- A secure key, password or other device that records the time an employee logged into and logged out of the computerised information system. This is collated for the pay period on a report that is sent to supervisors or managers
- Manual or system based timesheet where the employee manually enters the time the shift started and finished.



Each option may also require supervisors to maintain a summary sheet that is updated manually each shift with start and finish times for each employee.

It is important to remember that no system is guaranteed to prevent fraud or error but minimise the opportunity for either to occur. For example, one employee could clock in and out for another in a paper based time card system. Errors may occur in a system where manual timesheets are used.

No matter which system is used, hours worked for each pay period need to be approved and sent to payroll for processing. This process can be separated into two stages. Firstly, at the end of a pay period, employee records and supervisor summary sheet are collected and reviewed. Supervisors or manager verify hours worked by authorising employee records. These authorised records along with the summary prepared by the supervisor are sent to payroll.

The second stage is a review by payroll personnel. Documentation completed by employees is compared to the information provided by managers or supervisors. Any differences are investigated by discussing the issue with the supervisor, employee or both. When there are no differences or problems are resolved, the payroll is approved for processing.

Sometimes, the summary sheets prepared by department heads are sent directly to payroll and it is simply verified employee documentation that is forwarded at the end of the pay period. In this way, internal controls are strengthened by minimising the chances of dishonest activity between managers and their staff but also by confirming that all wages paid are complete and accurate. Remember that independent verification is a key feature of an effective internal control system.

Overtime

Overtime is any time worked by an employee that is beyond their ordinary hours of work. For an employee on an annual salary, ordinary hours often refer to a weekly number of hours. For an employee paid by wages, ordinary hours refer to the number of hours in a shift. Internal control procedures would require the overtime hours to be recorded on appropriate documentation such as an overtime approval form. This form would be approved by designated personnel and forwarded to those responsible for payroll processing. Similar to the process for wages, payroll personnel would compare the overtime information to other documentation and approve for processing.

Processing and distributing payroll

For effective internal controls in the payroll sub-system, different people or departments depending on the size of the business carry out authorising employment and pay rates and verifying hours worked.

It is also necessary to ensure that internal control measures segregate the duties of preparing the payroll, authorising payroll to be processed and distributing pay to employees.

Preparing payroll

Documentation supporting hours worked is forwarded to appropriate payroll personnel by supervisors and managers in departments or functional areas within the establishment. The size and nature of the organisation usually determines how many personnel are required to process payroll and it is usually part of the accounting department or back office in an accommodation venue.



Processing payroll

To process payroll, documentation summarising hours worked is reviewed. From time to time, an independent accounting office employee will spot check payroll sheets to verify that hours worked, pay rates and calculations are accurate. In either a manual or computerised system, payments for all employees are prepared. These payments are then authorised by either a senior payroll employee or other manager charged with this task.

Once authorised has been granted, payroll can be processed. Payments are generally made to employees from one of the following options:

- Cheques
- Electronic transfer – an electronic file is sent to the bank with instructions for the amount that is to be transferred electronically to the employee's nominated bank account.

Some organisations will offer both options to employees and some, depending on size and management policies, will just use one payment method. The internal controls surrounding cheque and electronic payments are the same as other cash disbursements discussed earlier.

Wherever possible, organisations should avoid making payroll payments in cash. However, this is sometimes unavoidable for hospitality and tourism organisations because often people are hired as needed. For example, if a number of guests check-in to an accommodation venue without prior reservations, housekeeping may need to call on additional staff to service rooms more quickly than planned. It would be unfair to ask these employees to wait for their wages until the next pay period which could be a week or two away.

In cases like this, establishments use a pre-prepared cash payment form that details hours worked, pay rate and employee details. This form is authorised by the supervisor and manager and forwarded to the employee assigned with cash disbursement duties such as the cashier. It is important that the authorisation and payment duties remain separate.

Distributing payroll

Internal control measures should always require the duties of payroll processing and payroll distribution to be carried out by different personnel. This minimises the opportunity for fraudulent activity such as a pay cheque being written to a fictitious employee but cashed by another genuine employee.

When payroll cheques are prepared, cheques should be handed to employees or mailed to their home address. Any cheques that cannot be delivered should be given to senior accounting personnel or the general manager who have no responsibility preparing the payroll cheques. If electronic transfers are made, a pay slip is prepared summarising the monetary amount and bank account details for each employee. This should be distributed under the same guidelines as cheques.

In smaller hospitality and tourism establishments, employees may pick up their pay cheque or slip from the payroll office. In larger operations, department managers may distribute them. Usually, in these cases, the payroll office or managers know each employee. Sometimes, pay cheques and slips are issued only when photo identification or a signature that matches the original job application is shown. To take this internal control measure one step further, this responsibility is assumed by a member of the accounting department that has no other involvement with the payroll function.

Internal control and inventory

The nature, size and scope of businesses in the tourism and hospitality are many and varied. Whilst all organisations receive and pay cash, make purchases and incur payroll costs, not all businesses purchase and hold inventory or at least if they do, the value of this asset can be vastly different.

Food service outlets, whether stand-alone or part of a larger establishment purchase and store a significant volume of food and beverage supplies. A visitor centre in the middle of a city that offers guidance to tourists or tours is providing a service and does not require the same level or type of supplies. The internal control measures for inventory in these two examples would be similar in theory but vary greatly in the procedures adopted. Good internal control systems include:

- A physical count of inventory at least once a year – the higher the value of inventory held, the more frequent the physical counts should be. Two accounting office employees should conduct this count
- Storing inventory is stored securely to prevent theft, damage and spoilage or waste
- Limiting access to inventory to personnel responsible such as storekeepers or similar person in a department
- Keeping formal inventory records in the accounting department who have no access to storage facilities and ensuring that store personnel have no access to accounting records for inventory
- Perpetual inventory cards that include the quantities received and issued for each separate item in stock so there is always a running balance of stock
- Keeping enough inventory on hand to prevent shortages which could mean lost sales
- Purchasing inventory in quantities that take advantage of cost savings.



Internal control and fixed assets

One of the unique characteristics of the tourism and hospitality industry is the value and amount of fixed assets held by organisations as a percentage of total assets compared to other industries. Consider the value of aircraft owned by airlines or the value of the land and buildings for a large multi-national accommodation venue. Even a smaller accommodation venue requires significant investment in fixed assets such as furniture and fittings.

Internal control for the purchase of fixed assets follows the purchasing controls discussed earlier. However, because the value of these purchases is high, they usually originate and are authorised by the most senior personnel in the organisation.

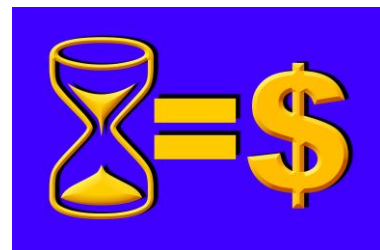
An effective internal control system will feature a fixed assets register. This provides a record of all the fixed assets that are owned by an organisation and details information such as:

- Unique identification details
- Location
- Purchase details
- Depreciation methods
- Current value
- Disposal details.

Personnel in the accounting department are usually assigned responsibility for maintaining the fixed assets register. At the end of a financial year or other time as directed by management, accounting personnel, other than those responsible for the register, perform a physical count of fixed assets to ensure that the register remains valid and complete. Fixed asset values are also reviewed at least once a year, by accounting staff that are not responsible for maintaining the fixed asset register.

Setting standard costs

One of the requirements of an effective internal control system is not only controlling the visible items such as cash and inventory but also implementing a reporting system that indicates whether the establishment is operating properly and at the standard expected by management.



There are many techniques available for management to implement across tourism and hospitality organisations. An example common to all establishments is a standard for payroll costs. Using industry benchmarks often provided by external financial organisations combined with the size and scope of the business, a standard payroll cost percentage can be set. When periodic reports on operations are prepared, accounting personnel use the payroll reports provided to them to calculate the payroll cost percentage for that reporting period. This percentage may be reported for each department or functional area as well as the organisation as a whole.

Management compare the actual payroll cost with the standard and any significant variations (usually above a minimum percentage) will be investigated. If there have been more employee hours worked than planned or the pay rate is different to what was expected, department managers or supervisors will need to provide an explanation. This type of monitoring for operations significantly strengthens the internal control system.

Other examples of control techniques applicable in the industry depending on the goods and services provided are:

- Food cost percentage
- Beverage cost percentage
- Gross profit margin
- Productivity calculations
- Other operating expense percentages
- Cost of sales percentage.



A final comment

The internal control objectives and principles introduced and discussed for different functional areas in hospitality and tourism organisations are designed to support the accounting or financial system.

Users of financial reports both within and outside an organisation rely on the information in the reports to be a valid, accurate and complete record of the financial activities of the business. Effective and efficient internal control policies and procedures provide assurance to managers, owners and outside parties that financial data meets these expectations.

It is important to remember that internal controls will rarely remove all the risks in all aspects of operations but should always aim to minimise the opportunity for fraud, error or theft to occur.

1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel

Introduction

Financial or accounting systems transform data from activities and events that have occurred in an organisation into financial information that can be relied upon internally by managers and owners to evaluate operational performance and make decisions. Also external parties such as government departments or financial institutions or any other parties interested in the profitability, strategy or operations of the business can rely on the financial information the system provides.

There have been a number of high profile examples from different industries in the past where actions by managers and owners did not ensure that financial information was reliable. This resulted in the implementation of legislation in the United States called the 2002 Sarbanes-Oxley Act. As a result of this law, it is a legal requirement in the United States that all organisation's implement and monitor proper accounting techniques. However, the impact throughout other regions, such as Asia and in the tourism and hospitality industry has been felt. Part of the responsibilities of managers and owners is extended to provide assurances that:

- Transactions are processed in accordance with management policies
- Transactions are recorded in a manner that reflects appropriate accounting policies

- Financial reports can be prepared based on appropriately recorded transactions.
- Access to assets is appropriately authorised
- Recorded assets are compared to existing assets at regular intervals and the values monitored.

To meet that responsibility, it is essential that the financial system be constantly monitored to ensure that best practices are maintained, procedures are adapted to reflect changes and corrective action is taken where necessary. This includes:

- All the internal control measures used by a business to safeguard its assets and ensure the reliability of accounting information
- The inputs to the system – the transactions summarising the activities and events that have occurred
- Processing transactions that result in appropriate categories for classification to meet reporting requirements
- The outputs of the system – the financial reports required to meet internal and external requirements.

Generally, organisations will agree on particular cyclical periods to conduct formal monitoring such as monthly, quarterly, bi-annually and annually. This is usually directed towards the internal control system and the outputs of the financial system and depends on the size and scope of the business. These two aspects are discussed in this section.

There are also procedures that management implement as part of day-to-day operations that enable constant supervision and review of financial data when it is entered and processed into the financial system. These procedures are reviewed in the following sections:

- The inputs to the system – 1.1 Check transactions in accordance with enterprise procedures
- Processing transactions – 1.2 Balance transactions accurately and 1.3 Check balances prepared by others in accordance with enterprise procedures.

Internal audits

An internal audit provides a review of the operating and accounting controls within an establishment to ensure that internal control procedures are being followed and assets are adequately safeguarded. This assists managers to monitor the financial system by verifying that forms, records and reports are reliable or may reveal that improvements to tasks or procedures should be made.

In smaller hospitality and tourism organisations, internal audits are the responsibility of the general manager. In larger establishments, accounting personnel conduct internal audits. Sometimes larger organisations will have an internal audit department, generally based in one location, which travel to all owned establishments and conduct the internal audit.



The size and scope of the business and the internal control measures usually determines the frequency in which internal audits are conducted, with at least once a year being the minimum policy. For example, in smaller organisations such as a small accommodation venue, the owner is often present and carries out many of the financial activities. Very few internal controls are probably required and therefore an internal audit to monitor them would be infrequent. However, in larger establishments that feature multiple services such as a resort, operations are organised into departments and internal controls are extensive. Internal audits would be frequent and perhaps scheduled to rotate through the functional areas twice or three times per year. Each workplace will detail their own internal audit policy that you would be expected to know.

The process of an internal audit can be broken down into five key steps that are applicable for all organisations. These are discussed briefly below.

Management meeting

Management and internal auditor personnel meet to confirm the scope, timelines and other requirements for the audit. Any particular area of operations or procedures within any area of operations that may be of concern to management for any reason are discussed and included in the tasks for the audit. Any changes to the operation of the financial system such as a change to procedures within the cash sub-system are also highlighted in this meeting.



Identify internal controls

As part of planning the internal audit, audit personnel refer to the policy and procedures manual that details all the internal control measures management have implemented. Any changes since the last internal audit will be documented as part of this manual. The systems and procedures that are to be evaluated are reviewed, discussed and the audit plan finalised.

For example, in an accommodation venue, these areas may be subject to audit each time an internal audit is conducted due to the frequency of transactions:

- Daily sales, allowances, cash and credit transactions, including pricing and commissions
- Purchasing, ordering and receiving goods and services
- Payroll and labour costs.

Other aspects may only be included in the audit plan less often or with less emphasis such as:

- Compliance with external regulations
- Computer system controls
- Controls over fixed asset expenditure.

Evaluate internal controls

Once the audit plan is established and agreed, auditors can begin the task of evaluating the internal controls. An audit trail exists in every internal control system that documents each transaction through the stages or phases of the financial system - input, processing and output.

Internal auditors follow the trail, checking that procedures are followed and forms, reports or other documents are used as intended. It is important to note that internal auditors test a sample of transactions to evaluate the internal control procedure. This will usually represent a proportion of the total transactions that management believe will verify that the system is reliable.

Assess outcomes

If the auditors find that a procedure is not followed or documents are not used as detailed in the procedures manual, a record of the transaction and the details are noted. This requires internal auditors to assess the impact on internal controls of the deviation and note this for management. It might appear to employees from one department that a particular task can be carried out differently but may not realise that this has a detrimental impact on another part of the system. Internal auditors would be expected to note an example such as this.



When a significant deviation from procedures is found, internal auditors may expand the number of transactions reviewed to check if the incident is isolated or indicative of a potential internal control issue. This occurs if it is thought that the deviation threatens the reliability of accounting information or the safeguarding of assets.

Final evaluation

At the completion of the internal audit, an audit report is prepared for management. This outlines the strengths, weaknesses, actions and follow up procedures from the internal audit. This is an important document for managers as it serves to provide evidence that they are fulfilling the responsibility of ensuring the reliability of financial information.

Any actions that recommend changes to internal controls are discussed carefully between managers and auditors. As appropriate, input from those employees who perform the tasks is also sought. When changes are agreed, the policy and procedure manual is adjusted to reflect the new procedure, any forms or reports altered and the internal audit report updated.

Financial system outputs

As part of an effective internal control system, the financial system should provide reports that indicate whether all aspects of the business are operating properly. This requires standards of performance to be set so that actual results can be monitored and compared to these standards. In the tourism and hospitality industry, of particular concern is the control of costs, revenue, cash and stock to avoid unnecessary loss and wastage that can lead to falling profits.

One of the standards of performance prepared by all organisations is a plan that details the expected financial activities of the establishment over a given period. This is called a budget. There are different types of budgets prepared depending on management requirements. They include:

- Sales budget
- Expenses budgets
- Cash budget
- Inventory budget

- Department budget
- Operational budget
- Budgeted Profit and loss or income statement.

Budgets such as these assist management to assess if there is sufficient cash available to pay all expenses, determine when revenue is going to cover costs and when it may not, identify that sufficient inventory is available and other such considerations that contribute to successful operations.

When actual results are compared to the budgeted results, management can monitor the performance of the business and adjust operations as required. For example, a department manager receives a report summarising the payroll costs for the month. This is higher than what was planned. The manager checks the records and notices that the total hours worked for each employee is different to from the plan and can explore why.

At the same time, the department manager may compare the report to previous periods or standards set within the organisation, sometimes called benchmarks, to monitor performance. Significant variations from the standard or a concerning trend can be identified and action taken as required. Benchmark information also includes industry wide standards sourced from outside the organisation. These can also be compared to internal results as a guide for managers to monitor performance.

The following table illustrates examples of the different methods managers in a larger accommodation venue can use to assess if aspects of the business are operating properly.

Financial result (by department)	Person responsible	Control period	Data that is monitored
Revenue report	Department manager	Daily Monthly	Cash and credit sales records Food and beverage control
Gross Profit by department	Department manager	Monthly	Total revenues and total cost of goods sold or cost of sales
Payroll cost report	Department manager	Daily	Labour cost
Food and Beverage menu abstract	Department manager	Daily	Popularity and profitability of individual food menu items Food cost
Net operating profit by department	Department manager	Daily Monthly	Total revenues and total costs (controllable)
Gross profit for the establishment	General manager	Monthly Quarterly Annually	Total revenue and total costs for the entire establishment
Net operating profit for the establishment	General manager	Monthly Quarterly Annually	Total revenue and total costs for the entire establishment

Variance analysis

To monitor actual and planned financial results for a given time period, department manager, general managers and owners depending on the size of the organisation will be provided with appropriate reports from the financial system that summarise both the actual and planned financial information. For example, the payroll cost report from the table above which enables each manager to monitor the daily payroll costs for their department would show the actual and planned hours worked and total costs.

Managers are then able to calculate the difference between actual and planned results. These are called variances and can be expressed as monetary values or as percentages. Variance analysis is the term given to the process of calculating and analysing the different variances. Variances are considered favourable if the actual result is an improvement on the budget (higher revenue or lower expenses) and unfavourable when actual results do not meet budget expectations (lower revenue and higher expenses).



Hospitality and tourism establishments must take particular care to note that labelling variances as favourable and unfavourable should not be interpreted as good or bad, respectively. This judgement can only be made when the cause of the variance has been investigated. For example, for a food service outlet, actual food costs may be higher than budgeted as shown by an unfavourable variance. However, if food revenue is also higher than budget (prices have not changed), it seems reasonable to assume that this increase in food sold would also mean an increase in food used. Therefore, the increase in food cost is acceptable.

Four steps are commonly associated with variance analysis. They are:

- Compare actual results to the budget
- Identify significant variances
- Determine the cause of significant variances
- Take corrective action as required.

There are two ways that actual results are compared to budget:

Horizontal analysis

For this type of analysis, the establishment chooses a base period and compares both the monetary and percentage change in operations compared to the base period. The analysis is interpreted by describing the results as increasing or decreasing over time compared to the base period. If yearly trends are being examined, the base period may be three years in the past or if monthly trends are checked, the base period may be six months ago. In this way, patterns or trends may emerge which enable managers to consider any changes in operations that may need to occur.

Vertical analysis

Vertical analysis is most often used in hospitality and tourism organisations to monitor and control expenses that appear on an income or profit and loss statement, both at department level and for the entire establishment. The amount of each expense is divided by total revenue and converted to a percentage. Food cost and labour cost percentages are examples of this calculation. The analysis reveals which costs absorb the most revenue for the reporting period. When compared to pre-determined standards and industry benchmarks, managers can assess whether the expenditure is in line with operating expectations or if action needs to be taken. Comparing the percentages over time also reveals trends that further provide managers with information to effectively monitor and control costs. For example if the food cost percentage increases over time, managers of a food outlet may choose to investigate sourcing products from other suppliers or changing the menu to control costs.

Identify significant variances

It is the manager's responsibility to determine if a variance is significant based on their knowledge of their area of operations as well as the policies and procedures of the establishment. A common example of such policies is to define the nature of costs incurred by departments or functional areas. Controllable costs are those costs that the manager can influence such as food costs by the food and beverage manager. Non-controllable costs are those that the department manager cannot influence such as minimum hourly labour rates or general premises maintenance as examples. This type of classification allows department managers to focus only on any significant cost variances that they can control. Policies will also often state a minimum threshold for variances, expressed as a percentage, that when exceeded, will require investigation.

Determine the cause of significant variances

To determine the cause of a variance, managers must first identify the two reasons why the variance occurred. Consider an unfavourable payroll cost variance for a small accommodation venue. The total payroll cost is calculated by:

$$\text{Total hours worked} \times \text{Average hourly rate}$$

The financial system has reported the following on the daily total payroll cost report:

Item	Actual	Budget	Variance
Total Payroll	936	750	186 (U)
Hours worked	120	100	20 (U)
Average rate of pay	7.80	7.50	0.30 (U)

It is clear from the table that the unfavourable variance has occurred because both the hours worked and the average rates of pay are higher than the budget. Managers can now focus their investigation on these two factors. It may be that the establishment was busier than planned so more staff were employed or existing staff worked more hours. This may have meant paying a higher rate to the casual staff or paying excess overtime to existing employees.

However, the variance may also highlight a breakdown of internal controls in the financial system. Perhaps organisational policies regarding overtime are not being followed or payroll was prepared using incorrect hourly rates or calculations. In this way, variances act as a method for monitoring the controls that surround the financial system as well as the outputs of the financial system.

A useful technique to remember when analysing the cause for variances is to remember that sales revenue variances are broken down into price (sales prices) and volume (quantity sold) differences and expense variances into cost (hourly rate) and quantity (hours worked) components. It is also important to remember that there may be many possible causes for variances, some of which will be beyond the responsibility of the manager.

Take corrective action as required.

When the cause for the variance is identified, management can take corrective action to ensure procedures are in place to either enhance operations or prevent any undesirable situations from occurring again. In the example above, new procedures might be initiated that require written approval before overtime is paid. On the other hand, perhaps internal control processes may be adjusted to include more spot checks of individual timesheets.

In the case of favourable variances, management may decide to use the excess funds for other purposes. However, hospitality and tourism establishments must be careful, as seasonal factors must be taken into account. Favourable variances for one period may turn into unfavourable variances the next if budgets have not planned correctly for seasonal variation.



It is always good practice for managers to take the time to investigate variances fully. It is possible that favourable and unfavourable variances counter-balance each other and therefore actual results for the department as a whole will equal the planned results for the time period reported. Management must consider this overall result so that any corrective action is appropriate.

Finally, managers report the results and suggested courses of action in a variance report. This report should always contain meaningful information obtained from detailed investigations into the reasons for the variance including well-researched, realistic and appropriate corrective action. The format differs greatly from one organisation to the next but typically includes:

- Name of the account or item investigated such as Sales or Food cost
- Actual monetary amount
- Budgeted monetary amount
- Variance – indicating if it is Favourable or Unfavourable
- Causes, reasons and suggested corrective action.

Ratio analysis

Ratio analysis in accounting refers to the comparison of two monetary amounts or quantity values. Ratios provide a convenient and useful way to determine and express various relationships between the items reported by the financial system. Along with variance analysis, ratio analysis is one of the main techniques used to monitor financial results against a set of pre-determined standards.

It is important to remember that when two numbers are converted to a ratio, the relationship between the two numbers must be meaningful. If food sales revenue and the cost of food supplies (cost of goods sold) are compared, the ratio is realistic and understandable. However, no useful information is provided from a ratio that compares food sales revenue to the cost of cleaning rooms.

In addition to this, a ratio must be compared to something else to have meaning. For variance analysis, actual results are compared to a standard called the budget. The best method for ratio comparison is to evaluate current period ratios to pre-determined standards for the same operating period. These pre-determined standards should always consider internal and external factors that may affect the operation for the reporting period.

Ratios are categorised in different ways, depending on the information the ratio measures. In the tourism and hospitality industry, two broad categories are common—financial ratios and operational ratios. In a smaller establishment, the general manager or owner will generally monitor selected ratios that evaluate overall performance and key operational factors at different times. In a larger establishment, general managers and senior accounting staff monitor both financial and operational ratios and department manager's focus on operational ratios.

Financial ratios monitor the profitability, liquidity and stability or long-term solvency of the business. The table details each of the key ratios management may use and a brief interpretation of each ratio.

Area of analysis	Name of ratio	Formula	Interpretation
Profitability	Return on total assets	$\text{Net profit before interest and tax} \div \text{Owner's Equity} \times 100$	Measures how efficiently profit is generated from the assets of the business
	Return on equity	$\text{Net profit after tax} \div \text{Owner's Equity} \times 100$	Reports the return owners or investors receive from their financial investment in the business
	Gross profit margin or ratio	$\text{Gross Profit} \div \text{Total Revenue} \times 100$	Gross profit is calculated by deducting cost of sales or cost of goods sold from sales. The ratio shows the percentage of revenue that is used to purchase the goods or services that are sold to earn revenue

Area of analysis	Name of ratio	Formula	Interpretation
	Net profit margin or ratio	$\text{Net Profit} \div \text{Total Revenue} \times 100$ (Net Profit before or after tax can be used)	This shows how effective management has been in controlling operating costs and providing a profit
Liquidity	Current ratio	$\text{Current assets} \div \text{Current liabilities}$	Indicates the ability of the business to pay its short-term debts. Most tourism and hospitality establishments require this ratio to be over 1
	Quick ratio	$\text{Current assets (less prepayments and stock)} \div \text{Current liabilities}$	Indicates the ability of the business to pay its short-term debts. Most tourism and hospitality establishments require this ratio to be over 1
Stability	Total liabilities to total assets ratio	$\text{Total liabilities} \div \text{Total assets}$	This ratio monitors the amount of assets that are funded by debt.
	Total liabilities to total equity ratio	$\text{Total liabilities} \div \text{Total equity}$	This ratio monitors the amount of assets that are funded by investors or owners

Operating ratios are usually calculated much more frequently than financial ratios and monitor key aspects of operations in the establishment. The types of ratios calculated depend very much on the nature of the business and the activities management wish to monitor. Examples of the most common ratios are given in the table that follows.

Area of Operations	Name of ratio	Formula	Interpretation
ALL	Labour cost percentage	$\text{Labour cost (payroll)} \div \text{Total revenue} \times 100$	For every unit of sales revenue earned, this percentage is spent on labour and compared to the pre-determined standard
	Other operating cost percentages	$\text{Operating cost} \div \text{Total revenue} \times 100$	Other operating costs that management wish to monitor are compared to total revenue to determine the percentage spent
	Sales revenue percentages or yields	$\text{Sales revenue category} \div \text{Total revenue} \times 100$	This ratio is used to indicate the revenue earned from the different goods or services offered. Care must be taken to interpret this as revenue, not profit

Area of Operations	Name of ratio	Formula	Interpretation
Food & Beverage	Food cost percentage Beverage cost percentage	Food cost ÷ Total revenue × 100 Beverage cost ÷ Total revenue × 100	For every unit of sales revenue earned, the percentage calculated by these ratios is spent on either food or beverage
	Revenue per seat	Total restaurant revenue ÷ Number of seats	Expressed as a number, this calculation indicates the revenue each seat in a food outlet provides. The ratio can also be used to examine different meal periods
	Revenue per employee hour worked OR Average number of guests served	Total restaurant revenue ÷ Number of employee hours worked Guests served ÷ Number of employees on shift	Both of these ratios are expressed as numbers and measure the productivity of labour against a pre-determined standard
	Percentage of Beverage Sales to Food Sales	Beverage sales revenue ÷ Food sales revenue × 100	Generally, beverage sales are more profitable than food sales so management will have a pre-determined standard this ratio must meet
	Percentage of Food Sales to Room sales revenue	Food sales revenue ÷ Room sales revenue × 100	Used when a food outlet is part of an accommodation venue, this compares the profitability of the different departments
	Guest conversion rate or covers per guest	Total covers served ÷ Total guests in-house	Expressed as a number, management can assess how many guests utilise the food outlet at the accommodation venue. This is often also calculated for each meal period
Rooms	RevPAR (Revenue per available room)	Total daily room revenue ÷ Total number of rooms available (sold + unsold)	Managers use RevPAR to monitor the performance of room sales. It is expressed as a monetary amount
	Occupancy	Number of rooms sold ÷ Total number of rooms in establishment × 100	This percentage indicates the number of rooms occupied for the period calculated

Area of Operations	Name of ratio	Formula	Interpretation
	Average rate per occupied room	Room revenue ÷ Rooms occupied	Expressed as a monetary amount, this ratio is calculated daily, weekly, monthly or as required and indicates the average rate guests paid for rooms
	Guest density	Number of guests ÷ Rooms occupied	This number indicates the average number of guests in each room, which monitors the profile of guests that stay at the venue
	Total Service cost per room Expenses per room Labour cost per room	Total housekeeping costs ÷ Number of rooms serviced Expenses per room ÷ Number of rooms serviced Labour cost per room ÷ Number of rooms serviced	These calculations are all expressed as monetary amounts and assist management to monitor the productivity and costs associated with cleaning rooms. The total service cost can be broken down into the labour and supplies components
	Time to clean rooms	Cleaning time (hours) ÷ Number of rooms serviced	Expressed in hours or minutes, this ratio would be compared to a pre-determined standard and to the other room productivity ratios to monitor performance

Rather than repeating the same ratios for establishments that focus on specific travel or tourism operations, the following changes can be made to the calculations to reflect the different activities:

- Replace per seat or per room with relevant units of measure such as tours or other individual products or services sold
- Replace covers, guests served or rooms sold with the unit of measure that describes the number of customers or clients that purchased products or services
- Any other unit of measure that is necessary to monitor operations compared to a total that ensures the ratio has meaning.

Ratios are only discussed by categorising them into the information they provide for convenience. It is much more important to understand the meaning of each ratio and how it is interpreted rather than its category. Furthermore, whilst individual ratios provide information about one aspect of operations, the interpretation of several ratios, both financial and operational enables a more detailed review and evaluation of the financial system. Managers are often required to provide a daily report, especially in larger establishments, that includes the required ratios and explanations for performance.

A typical example for the food and beverage manager for an accommodation venue is to monitor daily revenue and costs. For a particular day, the manager has noticed that these revenue ratios have fallen and the cost ratios have risen:

- Revenue per seat
- Revenue per meal period or sitting
- Food cost percentage
- Beverage cost percentage
- Labour cost percentage.

The manager knows that the performance of the restaurant is affected by room occupancy as guests most commonly use the restaurant facilities. Therefore, the number of guests staying in the establishment is needed so that the guest conversion rate can be calculated. It turns out that occupancy and the guest conversion rate are lower than expected. This explains the fall in revenue. Investigation into costs is required to determine if it was possible to adjust food supplies and employee working hours to reflect the fall in occupancy. This may require a change to reporting from the financial system or a change in procedures to ensure the food and beverage department is informed in a timely manner of occupancy changes.

Benchmarks and trends

To complete the analysis of operating results managers not only interpret different ratios but also compare ratios to pre-determined standards. The term benchmarking is used to describe this process. As has been mentioned, each organisation sets internal standards as part of a good internal control system. There are also industry wide standards that are designed to allow comparisons between operating results of comparable establishments. For example, the HOST and STAR reports publish a range of operating results for accommodation venues. Standards from reports such as these help set internal standards because it is thought that they represent industry-wide best practice.

The following table gives examples of benchmarks for some of the common ratios.

Ratio	Industry Benchmark examples
Gross profit margin or ratio	60% to 70% for food and beverage 70% to 85% for accommodation venues
Net profit margin or ratio	Benchmark is dependant on size, nature and scope of organisation as well as management policies
Current ratio	The minimum acceptable ratio is 1:1. Larger organisations aim for closer to 2:1 and smaller can operated effectively at 1:1
Quick ratio	As above for the current ratio. Note that organisations with slow moving inventory such as expensive beverages or services will use the quick ratio as their benchmark
Labour cost percentage	Usually this is quoted at around 30% with above 35% considered high

Ratio	Industry Benchmark examples
Food cost percentage (also cost of sales or cost of goods sold percentage)	A food cost percentage between 30% and 40% is common.
Occupancy and RevPAR	Quoted benchmarks depend on factors such as the size and location of the organisation, the season and other external conditions. This is usually sourced from industry publications frequently so as internal standards are current

For the food and beverage manager in the example used earlier, the ratios calculated from the daily report were compared to an internal standard to evaluate performance. Now, the review of operations can be further enhanced as the use of external benchmarks may reveal a similar situation in other establishments of similar size and in a similar location. The fall in expected occupancy is accepted as just that and no further action is required.

Another comparison managers can make using both internal and external standards are to consider the change in information over time to determine if a trend is emerging. This is an important indicator of the direction of operations.

To conduct any type of trend analysis, information is needed for a number of reporting periods. To determine the trend in food cost percentages for a month, the food cost percentage for each day would need to be calculated. Similarly, if management wanted to monitor variances in payroll data, a number of payroll periods would be analysed.

Monitoring asset values

The techniques introduced so far to monitor the performance of the financial system have largely focussed on the management of revenue and expenses. Managers in hospitality and tourism organisations are also responsible for safeguarding the assets of the organisation. This means that not only must physical assets be kept safe but also the values of assets reported by the financial system must be reliable.

Cash

Cash is the asset most at risk in all organisations but especially in hospitality and tourism establishments where the volume of cash transactions is high. Internal controls surrounding the safety of cash received and cash payments have already been discussed and liquidity ratios as one measure for monitoring cash described.

Managers are also responsible for monitoring the flow of cash to ensure that there are enough funds to meet operational requirements. The flow of cash is dependent upon the various items of cash receipts and cash payments – cash, inventory, accounts receivable and accounts payable. Managers prepare a cash budget that summarises cash receipts and cash payments for a particular period. It enables managers to identify fluctuations in cash flow from factors such as seasonal variations and make appropriate decisions to either source more funds or make alternative uses for surplus funds.

The cash budget is prepared by summarising all cash that the business expects to receive and deducting all cash payments for the same period such as a month. This is called the net cash flow. The net cash flow is added to or subtracted from the bank balance to arrive at a projected bank balance for the month. If this is positive, there are enough funds to cover obligations but if it is negative, adjustments to payments may need to be made or a request for short-term funds submitted to the bank or financial institution.

The financial system provides managers with reports summarising actual cash flow information as and when required and managers can compare this to the cash budget for the same period. In this way, the cash budget becomes what is called a working document because it is continually updated to reflect the current cash position and future cash flows. For example, if actual cash receipts were less than the cash budget, management would need to check if this influences the ability to make required cash payments for subsequent months. If it does, management may have to source funds from elsewhere. If this is an on-going issue, it may require a change to policies and procedures for the timing of cash payments, the purchasing of inventory or perhaps to accounts receivable policies.

Many hospitality and tourism organisations use a tool called the CP3 system in response to cash flow issues such as this. This helps manager's monitor and budget cash more effectively by recording expenses into the accounting system when the purchase order is approved rather than waiting for the supplier's invoice. This means that reports from the financial system will clearly state the cash payments that the business will need to make and enable more accurate and efficient monitoring of cash.

Accounts receivable

When preparing a cash budget, managers must understand how cash moves or flows through the business. Over time, cash flows occur in a predictable cycle, even in hospitality and tourism organisations that are most susceptible to seasonal and cyclical variations. One of the closest assets to cash in an organisation is accounts receivable. This is because in the normal course of business, accounts receivable will be converted to cash receipts in the short-term as customers, guests or clients pay for the goods or services that were provided. It is important to carefully monitor and control the timing and collection of accounts receivable so that the cycle of cash inflows can be planned.



It is also important to monitor accounts receivable because managers must ensure that the balance as reported by the financial system is reliable. The accounts receivable values must accurately represent the amounts owed from customers, guests or clients for the reporting period.

As part of the internal control system, there will be a number of policies and procedures surrounding accounts receivable activities. These include granting credit to guests or clients, collection of outstanding amounts and adjustments for amounts that may never be collected. An accounts receivable aging report can be produced from the financial system that is used by management to monitor accounts receivable activities. An example report is given below and information such as:

- Total accounts receivable balance
- Number of days amounts are outstanding split into time periods
- Percentage of the total balance in each time period category.

Number of days due	Current	Less than 30	30-60	60-90	90+	Total
Accounts Receivable	4,900	490	1,400	140	70	7,000
Percentage	70%	7%	20%	2%	1%	

In this example report, it can be seen that for this establishment, most accounts receivable amounts, 70%, are paid on time, assuming normal collection terms of 30 days. The majority of the rest of the outstanding amounts are however exceeding normal terms.

This would usually be of some concern to management who would request further details from the financial system. Perhaps one individual client, called a debtor in the accounts receivable system, owes the entire amount or there are a number of debtors who have not yet settled their accounts. It may be that amounts are in dispute and are waiting for resolution or that an individual agreement late payment was made with a particular customer. Once any problems have been identified, procedures are initiated to collect the outstanding amounts. These generally include reminder notices, telephone calls, and visits to the debtor and in extreme cases, legal action may be necessary.

From this process, it will become clear if outstanding amounts will not be recovered or collected. This is called a bad debt. The accounts receivable balance must be adjusted to reflect this so that the value of accounts receivable in the financial system is accurate and reliable. Accounting personnel perform an adjustment called a write off which removes the debt and therefore reduces the accounts receivable balance.

From the aging receivables report, managers can assess the effectiveness of credit policies. In the example above, it would appear that policies are successful given that a large percentage of accounts receivable are paid on time. Management may suggest a revised credit agreement for the outstanding debtors depending on the issue or circumstance.

The aging receivables report also enables management to predict the cycle of cash inflows for a given period. They can forecast that at any time, 70% of the accounts receivable balance will be converted to cash within 30 days.

In addition to the aging receivable report, the accounts receivable turnover ratio assists management to monitor and control the accounts receivable balance. This indicates the how quickly the business converts accounts receivable to cash. The calculation is expressed as a number.

$$\text{Credit sales} \div \text{Accounts receivable balance} = \text{Number of times}$$

$$2,835,000 \div 270,000 = 10.5$$

Note that credit sales are the sales that have been made in the period for which payment has not yet been received. In this example, the accounts receivable balance is converted to cash 10.5 times per year. Often managers find this ratio more helpful when the calculation is extended as follows:

$$\text{Days in a year} \div \text{Accounts receivable turnover} = \text{Number of days}$$

$$365 \div 10.5 = 34.8 \text{ days}$$

It can be easier to explain that it takes an average of 34.8 days for accounts receivable balances to convert to cash rather than 10.5 times per year.

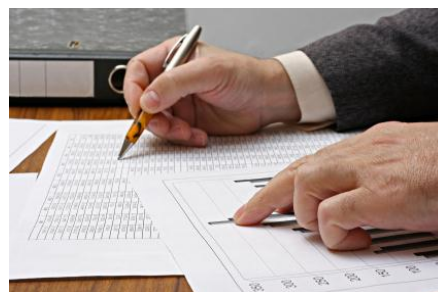
Managers can compare one or both of these results to pre-determined standards, internal or external benchmarks and to prior periods. In the example used here, both the aging report and the turnover ratio indicate that the collection period exceeds normal terms. When compared to internal benchmarks, this may be within acceptable limits. The only action required is to ensure collection procedures have begun. If this is indicative of an upward trend that managers find concerning, a review of credit policies may be conducted and possible changes suggested.

Managers may also examine the accounts receivable process to check that the financial system is receiving and processing transactions as expected. For example, in an accommodation venue, the guest checks out and their outstanding account is sent to accounting personnel. The guest becomes a debtor and an invoice is created for the outstanding balance that is sent to the guest. If this procedure is delayed, the guest's payment may be late and the accounts receivable turnover ratio and aging report will reflect this. In this case, it is the reason for the delay in the financial system rather than collection procedures that would be need to be addressed and resolved appropriately.

Inventory

The levels and values of inventory held by establishments in the tourism and hospitality industry varies greatly. When revenue is earned from the sale of goods, inventory must be purchased to make those sales. Common items of inventory in the hospitality and tourism industry are:

- Food supplies
- Beverage supplies
- Room amenities
- Travel products
- Goods stocked by retail outlets.



It is management's responsibility to ensure that the value of inventory reported by the financial system is accurate, reliable and valid. It is also necessary to monitor and control inventory because of its impact on cash flow. This impact is two-fold. Firstly there must be adequate inventory on hand so that sales can be made and cash flows into the business. There must also be adequate cash available to purchase required inventory. This is a cash outflow.

To satisfy these responsibilities, the value of inventory in the financial system is compared to the physical inventory stored at regular intervals. This process is called a stocktake or stock count.

Accounting personnel usually conduct stocktakes or personnel with no day-to-day authority to access inventory stores. A list of all inventory items is provided to a team of two counters and the number of each item is counted by one person and recorded by the other. Completed count sheets are returned to the accounting department who record the details in the financial system.

Any discrepancies between amounts counted and amounts recorded are reported by the financial system and investigated by both accounting personnel and appropriate managers. These investigations may highlight any possible improvements or changes to the financial system and would be reviewed and implemented according to workplace policies and procedures.

Accounting personnel process any alterations to the value of inventory as a result of the stocktake so that the balance of inventory in the financial system agrees to the physical inventory on hand at the establishment.

Monitoring and controlling the amount of inventory to hold takes particular care for managers in the hospitality and tourism organisations due to the seasonal and cyclical nature of the industry. Too little inventory can result in a loss of sales and too much inventory can affect cash flow and lead to unnecessary wastage. One way to inform this decision is to monitor inventory turnover.

Inventory turnover indicates the number of times inventory is sold in a period such as a month or a year. For establishments with food and beverage inventories, inventory turnover should be calculated every month. An efficient turnover rate should be about 4 times per month although this can vary from two up to seven times per month depending on the business. An establishment in a remote location may only get deliveries once a month so inventory turnover would close to two or lower. In contrast, if inventory is received daily, the turnover rate may be closer to seven. It is important that each business set its own inventory turnover standard or benchmark and managers monitor performance according to that rate.

The inventory turnover rate is calculated as follows:

Food cost per month ÷ Food inventory balance = Times per month

$23,500 \div 7,500 = 3.1$ times per month

To convert to the number of days for the month:

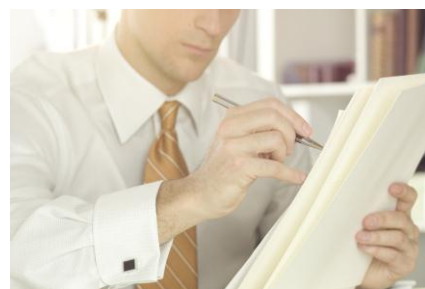
$30 \div 3.1 = 9.7$ days

In a similar manner to the other ratios that have been discussed, managers also watch for trends when monitoring inventory to identify any operational issues. An inventory turnover rate that is considered unacceptable may be due to an accumulation of unwanted stock, inefficiencies in purchasing systems or unexpected changes in sales. Managers must investigate inventory procedures to determine the underlying reasons for the rate and make appropriate changes.

It is particularly important that managers are aware of the cash flow implications of inventory decisions. It may not be possible to simply increase inventory if there are not enough funds to pay suppliers for the goods or services. Similarly, if too much inventory is held and not sold, this affects cash inflows.

Fixed assets

Fixed assets are monitored in the financial system using a fixed assets register. This register summarises the number and values of all fixed assets that are to be included in financial reports. Managers are responsible for ensuring that the assets included in the fixed asset register exist and that values meet generally accepted accounting principles.



To fulfil this responsibility, a physical count of fixed assets is conducted at least once a year. A sample of fixed assets from the register is chosen for a spot count or the asset register divided between teams for a full count of all fixed assets.

Using the unique code from the register, teams check the location and other details of the asset to the register. Detailed notes are taken and the asset register updated with any necessary changes. Managers must be mindful of any changes to ensure that there has been no breakdown of procedures that may need to be addressed. For example if an asset cannot be found because it has been sold, the fixed asset register should have been updated to reflect this.

Managers also conduct a review of all values in the fixed asset register such as useful life, residual value and depreciation rates. This occurs once a year and is required by accounting standards. Any changes need to be reflected in the fixed asset register before financial reports are prepared.

Review external requirements

When financial reports are prepared to meet external requirements, it is the responsibility of managers and owners to ensure that all necessary information is included in the report, in the format required and using appropriate accounting principles.

Given that such reports are required once or perhaps twice a year, workplace policies and procedures usually require managers to conduct this review in a timely manner before the report preparation process. Often government departments, regulatory authorities and other interested parties will give organisations plenty of notice for changes to reporting requirements so the scheduled review acts as a confirmation that changes have been made.

1.6 Identify and resolve discrepancies or errors according to level of responsibility and in consultation with designated persons

Many of the discrepancies or errors that occur as transactions flow through the accounting cycle are addressed throughout this manual. They can be summarised by the three basic steps or phases of all accounting systems, inputs, processing and outputs.

It is important to note that action taken for errors and discrepancies should be documented where appropriate. This provides management, other personnel, internal auditors and any other interested parties with explanations for transactions in the accounting system and evidence that financial information is valid and reliable.

Inputs

Examples of errors or discrepancies that can occur when transactions are entered into the accounting system are:

- Data entry
- Calculation mistakes
- Clerical errors
- Transposition of numbers and words
- Omitting transactions
- Processing the same transaction twice
- Omitting information from the journals
- Incomplete information received from other areas of operations.



Processing

Computerised accounting systems greatly reduce the amount of errors that can occur when transactions are posted from journals to ledger accounts or otherwise processed by the accounting system. Most errors or discrepancies arise from:

- Transactions classified incorrectly
- Journals posted to incorrect ledger accounts
- Omitting a journal
- Posting the same journal more than once
- Clerical errors
- Calculation errors
- Data entry mistakes.



Outputs

Reports produced from the financial system rely on the correct balances in the accounting system. Errors or discrepancies in reports are usually as a result of input or processing problems. However, the following may occur:

- Transposition errors
- Calculation mistakes
- Clerical errors
- Choosing incorrect parameters when creating reports in a computerised system
- Using an incorrect report format.

Wherever possible, errors or discrepancies should be resolved with a minimum of fuss and disruption to the normal course of business operations. It is always wise when informing supervisors or managers of a problem that you also have suggested solutions.

Workplace policies and procedures will always detail the process you must follow for reporting errors or discrepancies and the appropriate personnel to manage the particular issue. You must be aware of this in your workplace.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

- 1.1 For each subsystem listed in the manual in your workplace, follow the audit trail of one common transaction, identifying internal control principles that have been implemented. Include the ways in which the balances are checked for accuracy and completeness.
 - 1.2. Obtain appropriate financial reports from your workplace or as distributed by trainers and calculate the necessary ratios and variances so you can form an opinion on the operational performance of the business.
 - 1.3. Complete or assist other personnel to complete a trial balance worksheet for one month either in your workplace or as distributed by your trainer.
 - 1.4. Complete a bank reconciliation either in your workplace or as distributed by your trainer.
-

Summary

Monitor financial procedures

Insert text

- Financial or accounting systems provide management with information to fulfil their responsibilities of planning, controlling, directing and organising operations
- The internal control system provides assurance to management that financial information is reliable, valid, accurate and complete
- Hospitality and tourism organisations must take particular care to ensure there are effective internal controls surrounding cash, inventory, labour and the use of e-commerce facilities
- An effective internal control system should include methods and procedures for employees to follow and reliable forms and reports to provide the required information
- No internal control system prevents all forms of fraud or loss but minimises the risks of these occurring
- Once established, the internal control system needs to be monitored to ensure it is continuing to provide valid and timely information
- Internal audits provide a review of internal control procedures
- Managers monitor revenue and expenses through variance and ratio analysis, comparing actual results to standards, budgets and industry benchmarks
- Asset values are monitored using comparisons to budget in the case of cash
- Physical counts of assets such as inventory and fixed assets is required to ensure the accounting system reflects the correct values and amounts
- The accounting system is also monitored by the procedures created to input and process transactions
- Transactions are recorded and valued according to accounting principles
- Special journals and subsidiary ledgers provide checks on balances prepared by different employees
- The bank reconciliation is an important document for every business as it independently verifies the amount of cash the business holds
- The trial balance summarises the totals for each ledger account that has been posted from journals and ledgers
- Adjusting entries ensure that hospitality and tourism organisations reflect the accrual assumption in the accounting system and reports that are produced.

Element 2: Complete financial reports

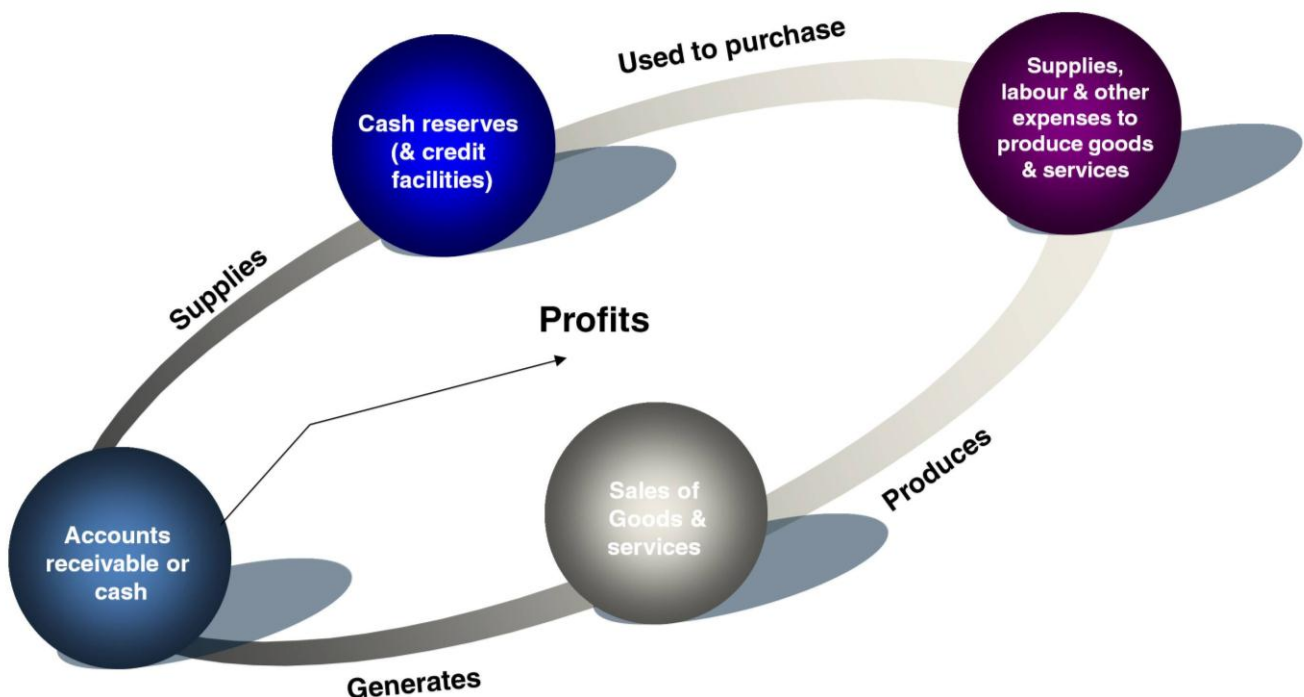
2.1 Complete routine financial/statistical reports accurately within designated timelines

Introduction

Managers in all hospitality and tourism organisations use information from the accounting system to support, inform and monitor the results of the decisions they make. To be successful, managers wish to ensure that the business should:

- Earn a satisfactory profit for its owners
- Use its short term and long term assets efficiently
- Be able to pay its short term debts on time
- Maintain adequate cash stocks to meet requirements
- Provide a return on investment to the owners both in income and growth of the value of the investment.

Reports prepared from the accounting system that enable managers to control, monitor and evaluate financial information. It is helpful to examine the operations of hospitality and tourism businesses to determine the factors that influence the types of reports that are produced and the frequency in which they are prepared. The hospitality business cycle or the cycle of service as this is also known illustrates the flow of transactions through an establishment.



The cycle begins with the purchase of goods and services for resale to customers or guests.

This includes all payments that need to be made to enable goods and services to be provided. For an accommodation venue, guest rooms are prepared and in a food and beverage outlet, meals are prepared as examples.

Then, the sale of goods and services occurs which generates revenue represented by cash that is available now or will be received later. This cash may be used to make additional purchases or retained by the business for other purposes and the cycle begins again.



In each section of the business cycle, transactions are recorded and processed in the accounting system. At any time, reports can be prepared that summarise the activities or events within each stage of the cycle and for the operation as a whole. Of particular concern to managers is the control of costs and revenue to maximise profit. Monitoring cash and stock to avoid unnecessary loss and wastage is also important as this also influences profit.

Hospitality and tourism operations also identify different revenue cycles, even within the same establishment. Revenue cycles determine the frequency for which reports are prepared depending on the information required by managers who are responsible for directing and controlling the operations of the business.

The sales or revenue cycles are summarised as follows:

- **Daily operating cycle**

This applies to areas of operations where different periods of activity can be identified each day. The most common example is the different meal periods for a food and beverage outlet.

- **Weekly operating cycle**

Accommodation venues can experience weekly operating cycles where business travellers use facilities during the week and leisure travellers on weekends. This can also apply to food and beverage outlets.

- **Seasonal cycle**

- All hospitality and tourism organisations can identify periods that are busier than others throughout the year. This depends on factors such as location, weather and holiday periods.

- **Economic cycles**

Economic conditions, both local and global have a significant impact on hospitality and tourism operations. For example, hotels that rely on business accommodation can suffer a loss of occupancy if corporate expenditure on travel falls due to an economic downturn. Establishments that rely on leisure and holiday guests may also experience a decline in sales when economic conditions deteriorate as families and individuals usually reduce their expenditure on leisure activities.

Following is a summary of the types of reports managers use and the frequency in which they are normally produced. It is important to remember that it is at the discretion of managers and owners to request reports as frequently as is necessary to effectively manage the business. This list is not exhaustive but is designed to illustrate the variety of reports that may be used. You must be always be aware of the particular reporting needs in your workplace and the frequency in which reports must be produced.

Summary of reports prepared in hospitality and tourism organisations

Area of operations from business cycle	Report	Frequency	Data that is reported
Complete cycle	Profit and loss statement	Daily, Weekly Monthly, Annually	Total revenue and total costs for the entire establishment
Complete cycle	Balance sheet	Monthly, Annually	Assets, liabilities and owner's equity
Complete cycle	Statement of cash flows	Daily, Weekly Monthly, Annually	Cash inflows, cash outflows, available funds
Complete cycle	Department operating schedule	Daily, Weekly Monthly	Revenue and expense for each department
Complete cycle	Fixed asset schedule	Annually (or as requested)	Lists all fixed assets by location and description
Complete cycle	Exception reports (by department and for establishment)	Daily, Weekly Monthly	Differences between actual and budgeted results
Cash	Cash flow summary	Daily, Weekly Monthly	Actual cash flows compared to budget
Cash	Cash budget	Daily, Weekly Monthly	Plans for future cash inflows and outflows
Cash	Bank reconciliation statement	Monthly (or daily)	Cash balance in the bank account and the ledger account
Production of goods and services	Payroll cost report	Daily	Labour cost by department
Production of goods and services	Food cost report Beverage cost report	Daily	Food and beverage costs by department
Production of goods and services	Room cost report	Daily	Summarises all costs associated with preparing rooms for guests
Production of goods and services	Other operating cost summaries	Daily, Monthly	Details any other operating costs management wish to monitor

Area of operations from business cycle	Report	Frequency	Data that is reported
Production of goods and services	Purchase order reports	Daily	Summarises the supplies ordered by department
Production of goods and services	Goods received reports	Daily, Weekly	Records the stock received for the period of time required
Production of goods and services	Wastage report	Daily, Weekly	Lists stock that could not be resold to customers
Production of goods and services	Accounts payable schedules	Weekly Monthly	Detail the amounts owed to creditors and the due dates
Production of goods and services	Inventory or stock sheets	Daily, Monthly Annually	Lists item by item the stock or inventory held on the premises
Sales of goods and services	Daily revenue report	Daily	Details revenue by department
Sales of goods and services	Sales analysis reports: Occupancy reports Food and Beverage menu abstracts	Daily, Weekly Monthly	Includes statistical data to analyse specific nature and timing of sales
Accounts receivable or Cash	Daily Takings report	Daily	Summarises cash movements at each point of sale for each shift or day
Accounts receivable or Cash	Daily Cash received reports	Daily	All cash received for the day identifying daily takings and accounts receivable amounts separately
Accounts receivable or Cash	City ledger report (accommodation venues)	Daily	All guest accounts that have not settled their account the previous day
Accounts receivable or Cash	Accounts receivable aging schedule	Monthly (or as needed)	Accounts receivable amounts by days outstanding
Accounts receivable or Cash	Accounts receivable schedule	Daily, Weekly Monthly	Lists all individual accounts receivable details

Many of these reports have been mentioned throughout this manual in relation to implementing and monitoring internal controls and checking the recording and processing of transactions. The format and nature of information reports is specific to the day-to-day operations of hospitality and tourism establishments. It is impractical to provide detailed procedures for the preparation of each and every report. Instead, the most common management reports will be discussed in detail. These can be adapted to reflect the circumstances of different workplace operations.

Complete business cycle or cycle of service

Profit and Loss Statements

Purpose

The profit and loss statement presents the operating results or financial performance of a business over a specific period of time such as a month, a quarter or a year. Profit is the excess revenue after all expenses are deducted. If expenses are greater than income, a loss is reported. It is arguably the most commonly prepared report as it is prepared to satisfy external reporting requirements and is used internally by owners and managers to evaluate the performance of the business and provide information to aid decision making.



Format

The exact format and presentation for profit and loss statements is dictated by the needs of managers and users of financial reports in the tourism and hospitality industry. The profit and loss statement for one smaller accommodation venue may be completely different from another and other branches of the industry such as resort, restaurants and theme parks will likely be very different from each other because each statement is prepared to reflect the operating results for that business. The profit and loss statement may also be called an income statement, a Statement of financial performance or a schedule of department results.

Preparing the profit and loss statement

The profit and loss statement has two main sections, revenue and expenses. The trial balance summarises the general ledger balances for revenue and expenses for the accounting period. These balances may be recorded in a worksheet from which the profit and loss statement is prepared.

Revenue

A tourism and hospitality organisation earns revenue by selling goods or services to guests, customers or clients. Sales are recorded in general ledger accounts that usually specify the nature of the sale. For example, a restaurant may have a sales general ledger account called Food Sales or perhaps Food Sales – dinner and an accommodation venue an account called Room Sales or even more detailed, Room Sales – leisure.

When preparing a profit and loss statement, the format required must be very clear. This determines the level of detail required for each category of revenue. A profit and loss statement for a food and beverage establishment or department may classify revenue into food and beverage and even meal times yet the profit and loss report for a larger accommodation establishment may simply state the revenue for the department as one figure.

Whichever format is used, amounts from the sales accounts in the general ledger are entered into the profit and loss report. It is necessary when reporting revenue for individual departments to ensure that it is only those revenue items that belong to that department that are included. This could create confidentiality issues, especially if department managers receive a bonus based on the financial performance of their department.

When all sales accounts have been recorded on the profit and loss statement, total revenue is calculated and recorded.

The second section of the profit and loss statement is expenses. This section has a number of sub-categories depending on the nature of the business.

Cost of goods sold or Cost of sales

The cost of goods sold or cost of sales expense represents the cost of the goods or products that have been removed from inventory and delivered to customers during the reporting period.

Examples from the hospitality and tourism industry include food and beverages purchased by a café or restaurant and sold to customers and tour packages and airline tickets that are sold by retail travel operators.

The format and calculation of cost of goods sold or cost of sales is:

Opening stock
Add: Purchases
Subtract: Closing stock
Total cost of goods sold

Note that closing stock is sourced from the results of a stock count that verifies the actual physical inventory held on the premises.

It is not always possible or practical to include a cost of goods or cost of sales calculation in a profit and loss statement as stock counts are only performed periodically during a reporting period. Occasionally, estimates are used or the purchases account balance is included under departmental or selling expenses depending on the format chosen.

Gross profit

Gross profit is the difference between revenue and cost of goods sold or cost of sales. It represents the profit made just from buying and selling products and services. When the profit and loss statement classifies expenses as departmental and fixed, the term gross profit can also be used to describe the profit calculated by deducting departmental expenses from departmental revenue. The remaining profit contributes to the fixed expenses of the business.

Expenses

It is at this stage in a profit and loss statement that all the expenses (apart from purchases if cost of goods sold calculated) are transcribed into the report. Before this occurs, expenses may need to be classified by nature or function. This may require the details of particular ledger account balances to be analysed and may even require a review of the cash payments or purchases journal for additional information. Some accounting systems, the CP3 system is an example mentioned earlier, choose to add to expenses all supplies that have been ordered as well as received. Whatever procedures are used, there will be workplace guidelines to follow.



Whenever an account balance is analysed and amounts separated for reporting purposes, it is necessary to ensure that the general ledger account balances. It is for this reason, as well as for future reference, that a document is completed that tracks the movements in the general ledger account balances.

When all expenses have been included in the report, the totals for each sub category are calculated and recorded.

The final step to preparing the report is to determine the profit or loss over the reporting period. Expenses are either deducted from revenue or gross profit and the final Net profit or loss is calculated.

An example of a simple profit and loss statement for a small hospitality business follows.

Your Place Profit and Loss Statement for period ending Day, Month, Year			
Cash Sales	48,620.00		
Credit Sales	<u>11,000.00</u>		
Total Sales			59,620.00
Less COGS			
Opening Stock	10,000.00		
Purchases	25,300.00		
Ending Stock	<u>(15,000.00)</u>		
Total Cost of Goods Sold			20,300.00
Gross Profit			<u>39,320.00</u>
Operating Expenses			
Wages	17,620.00		
Wages on costs	3,524.00		
Rent	1,815.00		
Insurance	1,650.00		
Office Supplies	<u>550.00</u>		
Total Operating Expenses			25,159.00
Net Profit			<u><u>14,161.00</u></u>

In summary, a properly prepared profit and loss statement:

- 1) Clearly identifies the business or department whose revenues and expenses are being summarised
- 2) States the accounting period for which the statement has been prepared
- 3) Includes an informative summary of all the revenue generated by the business during the accounting period
- 4) Summarises all the expenses utilised by the business to generate the reported revenue

- 5) Classifies expenses logically and consistently
- 6) Clearly states the profit or loss for the accounting period

Department profit and loss statements

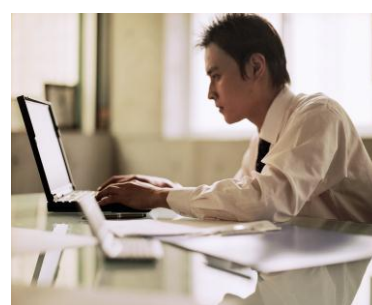
The format and preparation steps for a profit and loss statement is the same, whether it is prepared for an individual department or the entire establishment. The revenue and expenses that are included are however particular to the department or functional area so that the operating results are isolated from other areas of the business. This gives managers the financial data needed for them to control and monitor their operational area.

The profit and loss statement is often prepared daily and supported by separate revenue and cost schedules. These are described in more detail below. Budgeted numbers, ratios and other comparative is included depending on operational requirements.

Balance sheet

Purpose

The balance sheet reports the financial position of a business at a specific point in time. The financial position reflects what the business owns – the assets and what the business owes – the liabilities or debts and the equity of the owner or owners – the numerical difference between assets and liabilities. It expresses the accounting equation that was mentioned earlier in this manual.



Managers use the information in the balance sheet to analyse the financial position of the business. Ratios such as liquidity and stability are calculated and compared over reporting periods and to industry benchmarks to evaluate performance and assist decision-making.

The balance sheet is commonly prepared at the end of a yearly accounting period and may be called the Statement of financial position in some regions.

Format

There are two accepted formats for a balance sheet called the account and narrative or descriptive format. The account format lists the elements of the balance sheet in two columns. This can often be the format chosen when the balance sheet is produced internally for use by managers. The left hand column lists assets and the right hand column liabilities and equity. This highlights what is owned and how the assets were acquired, either sourced from borrowings (liability) or from owners (equity).

Preparing the balance sheet

The balance sheet is divided into three main sections, assets, liabilities and equity which are further breakdown into several important sub-categories. These sub-categories enable the evaluation of financial data and are arranged so that important relationships are shown. Generally for both narrative and account formats, balances for assets are entered into the balance sheet first, then liabilities and finally equity.

Assets

Assets are separated into two sub-categories, current and non-current. The sub category of current assets is listed first. Current assets are cash and other types of assets that can be easily converted to cash within 12 months of the current reporting period. The most common accounts found under this sub-category are (in order of liquidity):

- Cash at bank
- Accounts receivable or trade debtors
- Inventory or stock
- Prepayments (or Pre-paid expenses).

Each account name is listed in one column and the account balance written next to it. The total for the sub category is calculated.



Non-current assets are listed next and are those assets that are held for specific long term purposes. In practice for hospitality and tourism businesses, long term means greater than one year. It is important to be aware that many non-current assets must be depreciated. The sum of the depreciation expense that has been calculated for each asset is called Accumulated depreciation and is reported underneath each fixed asset to which it applies. Because the book value of the asset is reduced by the amount of Accumulated depreciation, this is shown in brackets as follows:

Furniture	40,000
Accumulated depreciation – Furniture	(5,000)

There are also non-current assets that are intangible. Intangible means the asset is not a physical substance. An example is the franchise licences issued by multi-national fast food companies. These licences are issued to the outlet owners but are ultimately owned by the company. Because such licences generally bring financial success to the outlet owners, they are considered to be of value and can therefore be classified as a non-current asset by the issuing company.

When all assets are entered, Total assets are calculated and entered into the balance sheet.

Liabilities

The next category to be completed is liabilities which are also separated into current and non-current sub-categories. Current liabilities are debts or obligations that an organisation expects to settle or are due to be settled within the next financial year. Accounts payable and deposits that have been received from guests or clients but the goods or services have yet to be provided are common current liabilities in the tourism and hospitality industry.



Other liabilities are:

- Accrued Expenses
- Taxes.

There is no agreed uniform presentation for this category. One approach is to list accounts with balances largest to smallest and another is to list in the order indicated above. Workplace policies and procedures should provide appropriate guidelines.

The sub-total for this category is calculated and entered into the balance sheet.

Non-current liabilities are those obligations that do not have to be settled within the next financial year. The most common non-current liability is long term debt such as a loan from a financial institution. This category can very often contain just one or two balances for hospitality and tourism businesses but must still be separated into a category of their own.

Total Liabilities are calculated at this time and entered into the report.

In some cases, at this point in the balance sheet, liabilities are subtracted from assets and a line called Net Assets is inserted. This is the number that will agree to Owners equity to ensure the accounting equation is true.

Owners equity

Owners equity is the last section of the balance sheet to complete. It summarises the owner's investment in the business. The content of this section depends on the nature of the owners investment as well as the legal structure of the business. Typically there is an account that will detail the funds provided by the owner/s which may be called Capital or Share capital. There is also an account that summarizes previous profit and losses called Retained Earnings.



Convention is to list Capital accounts first followed by Retained earnings or other accounts. Total equity is calculated and will agree to Net Assets if the balance sheet has been completed correctly. If this is not the case, there is simply an error in transcribing numbers which a review will confirm. You can be sure that this is where the error lay because, as part of the accounting cycle, you have already confirmed that the debits and credits reported in the final adjusted trial balance are correct.

Comparative data

Sometimes the balance sheet is prepared to include the financial position of the business in the previous reporting period or this information is contained in notes that support the financial reports. Depending on the reporting requirements, there can be balances for up to three past reporting periods included on the balance sheet. This information is easily sourced from past copies of balance sheets that have been prepared.

An example of a simple balance sheet in narrative format from a small hospitality business (hypothetical) follows.

Your Place Balance Sheet as at Day, Month, Year		
Assets		
Current Assets		
Bank	64,203	
Accounts Receivable	11,000	
Inventory	15,000	
Total Current Assets	90,203	
Non Current Assets		
Equipment	52,000	
Accumulated depreciation- Equipment	(16,000)	
Furniture	25,000	
Accumulated depreciation- Furniture	(4,000)	
Total Non Current Assets	57,000	
Total Assets		147,203
Liabilities		
Current Liabilities		
Unearned Revenue	500	
Accounts Payable	25,850	
Taxes	3,706	
Unearned Revenue		
Total Current Liabilities	30,056	
Non Current Liabilities		
Loan	25,000	
Total Non Current Liabilities	25,000	
Total Liabilities		55,056
NET ASSETS		92,147
Equity		
Capital	76,000	
Retained Earnings	16,147	
Total Equity		92,147

Operational reports

The business cycle described earlier is a continuous process that summarises day-to-day operations of all hospitality and tourism establishments. For the cycle to run smoothly, managers monitor each aspect of the cycle. Examples of reports that may be prepared summarising the activity for each of these aspects is reviewed below.

Cash and cash reserves

Cash and cash reserves in the business cycle includes:

- Actual cash available for use in the business
- Arrangements for goods and services to be provided and payment made later.



To manage cash and ensure that there are adequate reserves or arrangements in place to produce goods and services, managers monitor actual cash flows compared to planned cash flows. The document prepared to facilitate this is often called a cash flow summary, a cash flow statement or a statement of changes to working capital.

The financial system provides managers with reports summarising actual cash flow information as and when required and managers can compare this to the cash budget for the same period.

Cash flow summaries

Purpose

The purpose of cash flow summaries is to identify and report the effects of cash receipts and cash payments on the operating activities of the business. To do this, actual cash receipts and cash payments as well as future commitments for receipts and payments are recorded and analysed.

Cash flow summaries are prepared as frequently as is required by management to monitor and control cash. Some organisations report a Statement of cash flows annually to meet external requirements.



It is important to highlight that cash flow summaries are not reported at the department level. Whilst each department has its own cash requirements and generates cash from its own sales, cash must be managed for the entire organisation. This is the responsibility of senior managers and owners depending on the size of the organisation.

Format

The cash flow summary used for internal purposes has no particular format but will always contain:

- Cash receipts details and totals
- Cash payments details and totals
- Net cash flow
- Bank balance at the start of the reporting period
- Bank balance at the end of the reporting period.

When a cash flow is prepared for external requirements, it separates cash activities into three areas:

- Operating
- Investing
- Financing.

Cash inflows and cash outflows for each category and are reported and an overall cash movement calculated.

Preparing cash flow summaries

Cash receipts

Usually, the first component of the cash flow summary to be prepared is cash receipts. Cash receipts from operations results from payment for goods and services when they are provided and amounts received from debtors to settle their account. This information is reported to accounting personnel daily from point of sale reports and daily cash received reports and entered into appropriate journals. The cash flow summary reports the total amounts for the two sources of cash receipts from the journals separately.



Cash payments

Cash payments or cash disbursements is the next section of the cash flow summary to be completed. All cash payments made for the reporting period are included in the cash flow summary by category of expense. This is similar to the profit and loss report but only includes expenses where cash has been paid.

The net cash flow can now be calculated by deducting cash payments from cash receipts. This figure is added to or subtracted from the bank balance at the start of the reporting period to determine the total cash available to the business.

Cash budget

Cash flow summaries will also include the cash budget for the current reporting period and even future or past reporting periods as well. Managers can compare the cash position compared to the plan to evaluate the performance of the business. Refer to the cash section under 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel for more information on cash management.



An example of a daily internal cash flow summary follows.

Item	Actual cash (today)	Budget cash (today)	Budget cash (month)
Receipts			
Cash sales			
Accounts receivable			
Payments (or disbursements)			
Payroll			
Supplies			
Other operating expenses			
Net cash flow			
Beginning cash balance			
Ending cash balance			

Bank reconciliation

The bank reconciliation provides management with an independent verification of the cash available for use in the business. Along with the cash flow summary, management can make informed decisions on the use of cash in operations.

The bank reconciliation report is discussed in detail at 1.3 Check balances prepared by others in accordance with enterprise procedures.

Production of goods and services

Whether a hospitality and tourism establishment provides goods, services or a combination of both to its customers, guests or clients, there are many expenses or costs incurred. Costs or expenses directly impact profit as they are deducted from revenue earned and when cash is paid, effect cash flow. One of the main responsibilities for managers of departments, general managers and owners is to balance effective and efficient operations whilst minimising costs.



Costs can be classified a number of ways, depending on the information management want about operations or other aspects of the business. The larger the hospitality and tourism establishment, the greater the variety will be in cost classifications used as responsibility is divided by departments or functional areas. The most common classifications are:

- **Controllable and Non-controllable costs**

Controllable costs are those costs that managers of department, functional area or establishment manage and control. For example, the manager of the food and beverage department is controls the total cost of food and beverage supplies. Non-controllable costs are those that a manager cannot control in the short term. When evaluating the performance of their department, managers will focus on their analysis and decision-making on controllable costs.

- **Direct and indirect costs**

Direct costs are those costs that can be directly traceable to a department or area of the business. The wages for a chef producing food is a direct cost for a food and beverage outlet and housekeeping is a direct cost for the rooms department of an accommodation venue. Indirect costs cannot easily be assigned to any one department or functional area. Sometimes these costs are called overheads, non-operating expenses or undistributed expenses in hospitality and tourism establishments. Typical examples are rent, depreciation, and administrative and general expenses.

- **Fixed and variable costs**

Some of the costs incurred in operations will stay the same each month, despite the revenue generated by the business. These are called fixed costs. For example, if you have to pay rent for the premises where the business operates, this is a fixed cost.

A variable cost increases as sales increase and decreases when they fall. Food supplies are an example of a variable cost. The more customers eat at a restaurant, the more food that has to be ordered and therefore food costs increase.

Routine reports from the production cycle of operations tend to report direct, controllable costs as managers are held responsible for the profits of their department after these expenses are deducted from revenue. The most common routine report is the payroll cost report.

Payroll cost report

Purpose

Labour or payroll costs is one of the most significant expenses for hospitality and tourism organisations. It is usually monitored and controlled daily depending on the size of the organisation but is at least prepared monthly. Managers from each department and the establishment as a whole need to monitor hours worked and the rates of pay for the different categories of employees that work in the respective departments.



Format

The payroll cost report is designed by individual establishments to meet the needs of managers. For each department, the payroll costs that apply to that department will be included. For the entire establishment, payroll costs will usually be separated by department or functional area.

Payroll cost reports usually include at least the following information:

- Regular hours worked (stated as hours)
- Overtime hours worked (stated as hours)
- Total hours worked
- Total payroll cost (this may be separated into regular and overtime categories before a total is calculated).

This is calculated for each day and the month to date. The budget for the month or day will also be included and any operational ratios required by managers.

Preparing the payroll cost report

The payroll cost report is prepared from information in the payroll subsidiary ledger, based on hours and pay rates that have been approved by managers. In a computerised accounting system, reports are prepared automatically from payroll data and in a manual environment, payroll reports or summaries from each department contain the information required. For ease of illustration, a daily payroll cost report is discussed but the same principles apply for any other time period chosen.



Hours worked for the day

For each department or area, the total hours worked for the day by all employees are added and entered into the report. This is split between regular hours and any overtime hours. This allows managers to evaluate their staffing decisions and assess the impact on the total cost for their department.

Rates of pay

When employees are hired, an hourly rate or salary forms part of their employment conditions. This rate may be set outside the organisation by government bodies that set a minimum rate of pay for all employees, depending on the duties and responsibilities of the position.

Total daily payroll cost

To calculate the total payroll cost, hours worked is multiplied by the appropriate rates of pay. Usually departments will require this information for the different categories of staff that are employed by that department. For example, a food and beverage department manager may ask for the payroll cost report to be separated by kitchen staff, floor staff and supervisors.

Month to date calculations

Regular and overtime hours worked and the total payroll cost for the month to date are also included in the daily payroll cost report. This enables managers to review their payroll costs to date for accuracy, completeness and against expected costs.

Budget payroll

The budgeted payroll cost for the month is reported in the daily payroll cost report so managers can compare the actual cost to the cost that was planned or expected. At the time the budget was prepared, managers would have made certain assumptions to determine their staffing needs and therefore payroll cost. When managers can compare the actual costs to the budget, the accuracy and validity of their assumptions is confirmed. Also, if the actual results vary from the budget, managers can investigate reasons. This will improve control of costs for future reporting periods.

Ratios for analysis

The final calculations included in the report are relevant ratios that management use to monitor and control payroll costs. This is most commonly the payroll cost expressed as a percentage of sales. We have referred to this as the labour cost percentage earlier in this manual. A pre-determined labour cost standard, the current daily calculation and the month to date percentage are usually contained in the report. There may also be a percentage for the labour cost for the same time last month or year.

Often, this is the first part of the report the department manager will look at as a labour cost percentage that varies significantly from what was expected would always be investigated.

Other key expense reports

Any controllable expense that management wish to monitor can be compiled in a daily, weekly or monthly report. For example, in addition to payroll, managers of food and beverage service outlets routinely monitor:

- Food costs
- Beverage costs.

For an accommodation venue, managers monitor:

- Total room service costs
- Room amenities costs
- Cleaning supplies cost.



All expense reports will be designed in a similar way to the payroll cost report with the information sourced from the general ledger accounts.

Ratios or other statistical analysis such as vertical and horizontal analysis will either be included in the report or managers can calculate the information based on the information the report contains and the particular aspect of operations they wish to evaluate.

Purchase order summary

To inform managers of departments and accounting personnel as appropriate, purchase order reports are prepared daily or weekly depending on the frequency in which products or services are ordered. These reports detail the amount and total cost of goods and services which have been ordered. Managers can add these to expense reports to estimate the costs or expenses that the department will incur.

In some organisations, the purchase orders are entered directly into the accounting system as expenses from the purchase order summary. This gives managers complete control over the timing and amount of expenses that will appear on their profit and loss statements and cost reports as no adjustments have to be made.

Sales of goods and services

Reports for this section of the business cycle focus on the sales generated from providing goods and services to customers, guests and clients. They are unique to each establishment and are guided by operations and management requirements.

Daily revenue report or schedules

Purpose

Owners and managers wish to monitor revenue earned during business cycles as this revenue contributes to the overall financial performance of each department and the entire business. Whilst revenue is reported in profit and loss statements, revenue reports include the amounts of sales for the particular area of operations and other comparative data. This gives managers a detailed insight into operations enabling a more complete evaluation and review for decision-making.

Format

Revenue reports are designed to meet the requirements of individual organisations and have no particular standardised format. An example of a simplified revenue report for an accommodation venue might look like this.

Number of days due	Actual revenue (today)	Budget revenue (today)	Last year (same day)	Ratios
Total rooms available				
Number of rooms sold in total				
Rooms sold – Leisure				
Rooms sold – Walk ins				
Average room rate – Leisure				
Average room rate – Walk ins				
Arrivals				
Departures				

Preparing the revenue report

Actual sales for the reporting period

Depending on the organisation, there are different categories of sales that are included as revenue. For example, an accommodation venue earns revenue from selling rooms, commonly called Room Sales and may also earn revenue from its restaurant, called Food and Beverage Sales. A tour operator earns revenue from each different tour or package offered.



Because a revenue report is produced frequently, most organisations will have established an electronic means of preparing the report, such as spreadsheet software, so that managers receive the report in a timely manner. For a computerised accounting system, it is usual practice to review the sales balances and if any adjustments are to be made, prepare a worksheet similar to the worksheet described earlier to record these changes. A full trial balance is not required. When there are no adjustments, the report is produced directly from the computerised system.

In a manual accounting system, ledger account balances would be entered into a worksheet or similar document and the revenue report produced.

Budget or forecast information

Daily, weekly and monthly budgeted sales are the most common sales that are included in a revenue report. This gives the users of the revenue report the information needed to compare the current day, week or month's performance to what was planned when the budget was prepared.

In practice, because revenue reports are often produced to meet strict deadlines, some budgeted sales data remains the same on the revenue report from one time period to the next. It is adjusted only when a new basis of comparison is required. For example, monthly budget information on a daily revenue report will remain the same during that month and will only be updated at the start of the next month.

Previous period performance

Many revenue reports also provide managers with detailed sales information on the performance of each category of sales from the previous reporting period. This may be sales results from the previous month or year or both.

This information may be stored manually or electronically in a computerised accounting system or other software. Relevant data is entered directly into the revenue report and similar to budgeted sales amounts, only changes when the time period that is being reported changes.

Ratios for analysis

Many revenue reports will provide owners and managers with key financial and operational ratios that will the current time period but also may include budgeted and previous period ratios as a basis for comparison. Users of the revenue report review the absolute financial amounts and interpret relevant ratios to provide a detailed assessment of both current and future financial performance.

Common ratios that are calculated for the tourism and hospitality industry are discussed in the ratio analysis section of 1.5 Monitor financial systems and provide input on possible improvements to appropriate personnel. You may wish to refer to review those calculations at this time.

Ratios are generally calculated by electronic software such as a spreadsheet, database or a computerised accounting system once the required data is entered appropriately. If a revenue report is prepared manually, the formulas for calculating ratios will often be at hand to ensure the timely completion of the revenue report.

Other schedules

Other reports or schedules that provide information about sales or revenue to management focus on specific goods and services offered to customers, guests or clients.

For illustrative purposes, a food and beverage menu abstract is discussed but this can easily be substituted for a breakdown of the types of guests visiting an accommodation venue or other establishment or the number and profile of clients who have purchased a tour or tour package.

The food and beverage menu schedule tracks the popularity and profitability of different menu items to help management with decisions such as:

- Changing menu options
- Ordering supplies appropriately
- Opening and closing for certain meal times.

The schedule can also include standard food and beverage cost percentages for the establishment so that actual percentages can be compared.



Cash and Accounts receivable

The final section of the business cycle to discuss is the cash received for the provision of goods or services. This includes immediate payment for goods or services, payment that is received later and also deposits or payments for services that have not yet been provided. Routine reports summarise these different circumstances under which cash is received. The most common reports, irrespective of the size, nature and scope of the organisation are:

- Daily takings reports
- Daily cash received report
- Accounts receivable ageing schedule.

Workplace policies and procedures will specify the format for these reports as it is dependent on the nature and scope of the business as well as the degree of automation throughout the establishment.

Daily Takings report

Given the high volume of cash transactions that can occur in hospitality and tourism establishments, the daily takings report is one of the key routine reports prepared. It is completed at each point of sale terminal or register in the organisation and summarises the cash received for the day or shift. Typically, supervisors close the terminal or register and a register tape or document printed or displayed on screen details the cash receipts. This detail is entered and the tape attached to the daily takings report.

The cash contained in the register or terminal is counted, recorded on a cash slip (less the float from the start of the day or shift) and entered into the daily takings report. It is totalled and should agree to the register tape. Any discrepancies must be noted, investigated and resolved.

The daily takings report is forwarded to the accounts department and the cash and cash slip to the personnel responsible for banking. At this point, the ledger account and bank account are updated with the cash received for the day.

Daily cash received report

The daily cash received report is typically completed by accounts receivable personnel and summarises the amounts settled by debtors that day. The cash received from each debtor is entered and a total calculated. A cash slip with the cash is forwarded to personnel responsible for banking. The daily cash received report may be used to update the accounts receivable subsidiary ledger and then forwarded to the accounts department to update the accounts receivable control account. This process depends on the number and amounts of accounts receivable. You should refer to policies and procedures in your workplace to ensure you are aware of the particular process adopted.

Accounts receivable ageing schedule

The accounts receivable ageing schedule details the amounts owing from debtors by days outstanding. It is reviewed in detail in section 1.5 Monitor financial systems and provide input on possible improvements using this example format:

Number of days due	Current	Less than 30	30-60	60-90	90+	Total
Accounts Receivable	4,900	490	1,400	140	70	7,000
Percentage	70%	7%	20%	2%	1%	

The routine cash reports described above are most often used by management to monitor and control cash flow. Daily recording of cash receipts provides timely information that allows managers to assess the funds available to pay costs associated with producing goods and services so that the business cycle can maintain a continuous flow of operations.

2.2 Forward financial/statistical reports promptly to the appropriate person/department

Introduction

Once financial reports are prepared and finalised, they are ready to be distributed to relevant parties. There are a number of aspects of this distribution process that require careful thought and planning so that the confidentiality and integrity of financial information is maintained.

Confidentiality

All financial reports contain information that is confidential and potentially sensitive such as employee's pay details or pricing strategies to gain an advantage over competitors. Therefore, there must be great care taken to ensure that these reports are distributed appropriately so that confidentiality is not compromised.

It is also necessary to maintain secure and confidential workplace practices when preparing all financial reports. This includes signing out of confidential programs in a computerised system, securing confidential documentation and maintaining an orderly workspace.

Reporting periods

Financial reports are often required to be prepared in a certain time frame or by a certain date for a variety of reasons. This deadline may imposed by external parties such as banks and government agencies to meet security or funding requirements or by owners, especially if the organisation is part of a group of companies such as a hotel or resort group. Often managers are required to report financial activities to owners' daily, weekly or monthly and therefore need financial reports to review to meet this deadline.

Distribution processes

Depending on the size of the organisation, you may find that the same financial activities are summarized into financial reports in different ways to distribute to different users. For example, at the end of a month, the hotel manager requires a detailed report on the revenue and expenses for the front office and at the same time, the general manager requires a profit and loss statement for the entire organisation as well as each department. For a smaller organisation, managers may require a profit and loss statement and then request more detail in the form of other management reports as required. It is important to ensure that there are detailed protocols or procedures in place that describe these requirements so that financial reports are distributed appropriately.



It is also important to maintain a complete and current list that identifies personnel, departments and organisations that receive financial statements. This should always be checked for personnel changes or any other procedural changes prior to the distribution of financial reports.

How are these issues addressed?

Management accounting reports are prepared and distributed to appropriate personnel within the organisation as frequently as is required to effectively manage the business.

To manage this process, a schedule is prepared or maintained that holds such details as:

- Name of report
- Reporting period
- Date report to be completed
- Personnel to receive report
- Distribution method such as electronic or hard copy
- Other notes.

To accompany this, there may be a form that records when reports were sent, received and returned depending on organisational procedures. For example, if a report is sent electronically, a receipt can be sent indicating that the report was received. If a report is prepared as a hard copy, appropriate personnel may manually sign this form to indicate that they have received the report.



To maintain confidentiality, management accounting reports that are available electronically will require a password and are often only available for a certain period of time.

Hard copy reports may need to be returned or only viewed in a secure environment. Most organisations recognise that it is difficult to maintain security for hard copy reports so would only distribute confidential or sensitive information securely.

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

- 2.1 Prepare three key operational reports from information provided at your workplace or by your trainer. One of these reports must be a profit and loss statement and one must be an analysis of a key expense.

Include information that would be required to make informed decisions and provide explanations as to why that information is included.

- 2.2. Create a distribution list for reports that are produced as part of the production of goods and services part of the business cycle. Include all managers and personnel you think require the report and the procedures you would follow to ensure confidentiality if relevant.
-

Summary

Complete financial reports

- Financial reports are produced by the accounting system to provide information to managers to support the decisions they need to make
- The hospitality and tourism business cycle summarises the operations of an establishment and provides a concise approach for managers to analyse each aspect of the operations
- The frequency with which reports are produced often follows the sales or revenue cycle and includes daily, weekly and monthly reports
- The nature, size and scope of tourism and hospitality organisations varies greatly as does the requirements of managers. It is not practical to provide detailed examples of reports that may be produced but a guide as to the nature of information managers may require
- From the cash reserves part of the cycle, managers analyse actual and budgeted cash flows to assess cash requirements for the future. This influences the purchase of goods and services
- The production of goods and services requires managers to analyse the costs that are associated with preparing goods and services as well as purchasing them
- Managers require reports on the nature of revenue from the sale of goods and services aspect of the business cycle
- The collection of daily cash receipts from sales or from debtors is the final part of the cycle. When this information is provided to the accounting system, managers can play cash disbursements and the cycle starts over.

Presentation of written work

1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

2. Style



Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organized. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognize and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

3. Presenting Written Work

Types of written work

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



Format

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

Cover Sheet

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

Keeping a Copy

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

Inclusive language

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

Mankind	<i>Humankind</i>
Barman/maid	<i>Bar attendant</i>
Host/hostess	<i>Host</i>
Waiter/waitress	<i>Waiter or waiting staff</i>

Recommended reading

Note: all Recommended Reading is sourced from 'Trove: National Library of Australia' at <http://trove.nla.gov.au/>.

Alfredson, Keith & Ernst & Young 2009, *Applying international financial reporting standards*, 2nd ed, John Wiley & Sons Australia, Milton, Qld

Andrew, William P & Schmidgall, Raymond S., 1945- & Damitio, James W 2007, *Financial management for the hospitality industry*, Pearson Prentice Hall, Upper Saddle River, NJ

Chatfield, Robert E & Dalbor, Michael C., 1961- & Willie, Paul A., 1960- 2009, *Hospitality financial management*, Canadian ed, Pearson Prentice Hall, Toronto

DeFranco, Agnes L & Lattin, Thomas W 2007, *Hospitality financial management*, John Wiley & Sons, Hoboken, N.J

Futura Training 2008, *Manager's guide to hospitality financial management*, Futura Training, Lambton, N.S.W

Guilding, Chris 2013, *Accounting essentials for hospitality managers*, Abingdon, Oxon Routledge

Jagels, Martin & Ralston, Catherine E & Ebooks Corporation 2007, *Hospitality management accounting*, 9th ed, John Wiley & Sons, Hoboken, N.J

Jiambalvo, James 2013, *Managerial accounting*, Fifth edition, Hoboken, NJ Wiley

Rayman, R. A 2006, *Accounting standards : true or false?*, 1st ed, Routledge, London ; New York

Trainee evaluation sheet

Maintain financial standards and records

The following statements are about the competency you have just completed.

Please tick the appropriate box	Agree	Don't Know	Do Not Agree	Does Not Apply
There was too much in this competency to cover without rushing.	☐	☐	☐	☐
Most of the competency seemed relevant to me.	☐	☐	☐	☐
The competency was at the right level for me.	☐	☐	☐	☐
I got enough help from my trainer.	☐	☐	☐	☐
The amount of activities was sufficient.	☐	☐	☐	☐
The competency allowed me to use my own initiative.	☐	☐	☐	☐
My training was well-organized.	☐	☐	☐	☐
My trainer had time to answer my questions.	☐	☐	☐	☐
I understood how I was going to be assessed.	☐	☐	☐	☐
I was given enough time to practice.	☐	☐	☐	☐
My trainer feedback was useful.	☐	☐	☐	☐
Enough equipment was available and it worked well.	☐	☐	☐	☐
The activities were too hard for me.	☐	☐	☐	☐

The best things about this unit were:

The worst things about this unit were:

The things you should change in this unit are:

Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

Maintain financial standards and records

		Yes	No*
Element 1: Monitor financial procedures			
1.1	Check transactions accordance with enterprise procedures	☐	☐
1.2	Balance transactions accurately	☐	☐
1.3	Check balances prepared by others in accordance with enterprise procedures	☐	☐
1.4	Implement and control financial systems in accordance with enterprise procedures	☐	☐
1.5	Monitor financial systems and provide input on possible improvements to appropriate personnel	☐	☐
1.6	Identify and resolve discrepancies or errors according to level of responsibility and in consultation with designated persons	☐	☐
Element 2: Complete financial reports			
2.1	Complete routine financial/statistical reports accurately within designated timelines	☐	☐
2.2	Forward financial/statistical reports promptly to the appropriate person/department	☐	☐

Statement by Trainee:

I believe I am ready to be assessed on the following as indicated above:

Signed: _____

Date: _____

Note:

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

